



Williamson Tea

K E N Y A L I M I T E D



Report



Accounts



31 March 2008



**REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2008**

CONTENTS	PAGES
NOTICE OF MEETING	2
COMPANY INFORMATION	3
FINANCIAL HIGHLIGHTS	4
CHAIRMAN'S STATEMENT	5-10
CORPORATE GOVERNANCE	11-12
REPORT OF THE DIRECTORS	13
STATEMENT OF DIRECTORS' RESPONSIBILITIES	14
INDEPENDENT AUDITORS' REPORT	15
CONSOLIDATED INCOME STATEMENT	16
CONSOLIDATED BALANCE SHEET	17
COMPANY BALANCE SHEET	18
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY	19
COMPANY STATEMENT OF CHANGES IN EQUITY	20
CONSOLIDATED CASH FLOW STATEMENT	21
NOTES TO THE FINANCIAL STATEMENTS	22 - 56



NOTICE OF THE MEETING

NOTICE IS HEREBY GIVEN that the Fifty Eighth ANNUAL GENERAL MEETING of the Shareholders will be held at the Nairobi Club, Ngong Road, on Thursday 31 July 2008 at 10.00 a.m for the following purposes.

Special Business

1. To re-appoint a Director

Mr D B White who attained the age 70 on 5 February 2005 and duly re-appointed in subsequent Annual General Meetings pursuant to Section 186(5) of the Companies Act retires by rotation at the Fifty Eighth Annual General Meeting for Thursday 31 July 2008.

SPECIAL NOTICE is hereby given of the Board's recommendation to members to consider the re-appointment of Mr. D B White to the Board, and if thought fit, pass the following resolution as an ORDINARY RESOLUTION.

"That Mr. D B White be and hereby re-appointed as a Director pursuant to Section 186(5) of the Companies Act."

Ordinary Business

2. To receive and adopt the report of the Directors together with the audited financial statements for the year ended 31 March 2008.
3. To declare a dividend.
4. To elect Directors:

Mr. S C A Koech retires by rotation and being eligible offers himself for re-election.

In accordance with Article 114 of the Articles of Association, Mr. A L Carmichael who was appointed a Director of the Company on 1 February 2008 retires, and being eligible offers himself for re-election.

5. To approve the remuneration of the Directors.
6. To authorize the Directors to agree the remuneration of the Auditors.
7. To transact such other competent business as may be brought before the meeting.

BY ORDER OF THE BOARD

M M WACHIRA
SECRETARY

Wednesday, June 12, 2008

A Member entitled to attend and vote at the Annual General Meeting is entitled to appoint another person as his/her proxy to attend and vote instead of him/her, and such proxy need not also be a Member of the Company.

A form of proxy is provided with this report which shareholders who do not propose to be at the Meeting are requested to complete and return to the registered office of the Company so as to arrive not later than Twenty Four hours before the meeting.



WILLIAMSON TEA KENYA LIMITED
Incorporated 15 December 1952

COMPANY INFORMATION

SHARE CAPITAL Authorised:
17,512,640 ordinary shares of Sh. 5/- each, Sh. 87,563,200

Issued and fully paid:
8,756,320 ordinary shares of Sh. 5/- each, Sh. 43,781,600

GROUP COMPANIES Tea production Companies:
Williamson Tea Kenya Limited – CHANGOI ESTATE
(Incorporating LELSA ESTATE)
Kaimosi Tea Estates Limited (wholly owned) – KAIMOSI ESTATE
Tinderet Tea Estates (1989) Limited (82% owned) – TINDERET ESTATE
Kapchorua Tea Company Limited – (39.56% owned) – KAPCHORUA ESTATE

Other wholly owned companies:
Williamson Power Limited – GENERATOR SERVICES
Tea Properties Limited – DORMANT
Tea Manufacturing and Supplies Limited – PROPERTY INVESTMENT
Lelsa Tea Estates Limited – DORMANT

Other:
Williamson Developments Limited – (50% owned) – PROPERTY MANAGEMENT

DIRECTORS AND PROFESSIONAL ADVISERS

DIRECTORS N G Sandys-Lumsdaine* - Chairman
A L Carmichael* - Managing Director
S C A Koech
P Magor*
E N K Wanjama
D B White
A S Marsh*

* British

SECRETARY M. M. Wachira
Certified Public Secretary (Kenya)
P O Box 42281 – 00100, Nairobi

REGISTERED OFFICE 1st Floor, Williamson House,
4th Ngong Avenue,
P O Box 42281 – 00100, Nairobi

AUDITORS Deloitte & Touche
Certified Public Accountants (Kenya)
“Kirungii”, Ring Road, Westlands, P O Box 40092 – 00100, Nairobi

BANKERS Barclays Bank of Kenya Limited
Barclays Plaza Business Centre, P O Box 46661 – 00100, Nairobi

Standard Chartered Bank Kenya Limited
Kenyatta Avenue Branch, P O Box 40310 – 00100, Nairobi

LAWYERS Kaplan & Stratton
9th Floor, Williamson House, 4th Ngong Avenue, P O Box 40111 - 00100, Nairobi

Walker Kontos
Hakika House, Bishops Road, P O Box 60680 - 00200, Nairobi



FINANCIAL HIGHLIGHTS

		2008	2007	2006	2005	2004
Tea Production						
Area under tea	Hectare	2,144	2,089	2,082	2,073	2,047
Made tea - own	'000 Kgs	5,256	6,665	5,436	6,783	5,938
- Bought leaf	'000 Kgs	3,129	3,374	3,126	3,603	1,972
Total	'000 Kgs	8,385	10,039	8,562	10,386	7,910
Tea sold	'000 Kgs	9,215	9,085	9,285	10,244	7,246
Average price per Kg gross Sh/Ct		117/74	132/08	105/90	116/75	118/08
Turnover (Sh'000)		1,095,341	1,206,528	985,059	1,198,588	855,610
Profit (Sh'000)						
(Loss)/profit before taxation		(143,984)	214,067	(86,666)	139,754	123,870
Taxation Credit/(Charge)		46,467	(71,233)	28,391	(43,182)	(41,105)
(Loss)/profit after taxation		(97,517)	142,834	(58,275)	96,572	82,765
Minority interest		10,780	(3,163)	3,227	(8,341)	(2,344)
Retained (loss)/profit for the year		(86,737)	139,671	(55,048)	88,231	80,421
Capital employed (Sh'000)						
Property, plant & equipment		998,978	960,450	693,869	714,215	705,191
Investments and long term receivables		738,340	773,777	680,832	646,319	636,484
Current assets		602,701	774,134	523,947	654,384	560,769
Biological assets		1,240,306	1,246,488	1,256,146	1,317,036	1,336,192
Total assets		3,580,325	3,754,849	3,154,794	3,331,954	3,238,636
Financed by (Sh'000)						
Share capital		43,782	43,782	43,782	43,782	43,782
Reserves		2,401,075	2,531,594	2,192,435	2,291,265	2,235,870
Shareholders' funds		2,444,857	2,574,376	2,236,217	2,335,047	2,279,652
Minority interest		79,237	91,979	82,043	87,295	80,304
Medium term borrowings		123,622	41,163	44,447	19,110	45,195
Non current liabilities		122,497	122,454	113,949	118,261	90,327
Current liabilities		221,997	296,256	165,273	223,816	180,090
Deferred income taxes		588,115	627,621	512,865	548,425	563,068
		3,580,325	3,754,849	3,154,794	3,331,954	3,238,636
(Loss)/earnings per share	Cents	(991)	1,595	(629)	1,008	918
Dividend per share	%	10	100	10	100	75
Dividend per share	Cents	50	500	50	500	375
Dividend cover	Times	-	2.02	-	2.02	2.45
Exchange rates	US \$	62.80	68.40	71.90	75.00	76.40



CHAIRMAN'S STATEMENT

Results

It is with regret that I have to report the losses the Group incurred from its operating activities of over Kshs 73.4 Million in 2007/8 against last year's favourable profits of Kshs 162.6 Million. These unfavourable results arise from depressed World Tea prices throughout much of the year as a result of over supply in the International Market. This trend began during the second period of last year. A severe drought then hit our Farms during the last quarter which assisted a partial recovery in prices but without the production to capitalize on this. The situation was further aggravated by the strong Kenya Shilling against the trading currencies especially in the last quarter of the year. Labour related costs, especially wages are the major component of our production costs and do not benefit from the strong Kenya Shilling. Both the Property and Generator divisions contributed a total of Kshs 38 million to off-set the operating loss from the Farms.

There was a further decline on Biological Assets represented by the tea and fuel plantations by Kshs 19.7 Million compared to a reduction of Kshs 36.8 Million last year. This is due to reduced margins resulting from increasing costs of production and lower sales realizations exacerbated by the strong Kenya Shilling. In determining the fair value of Biological Assets, the Group uses the present value of expected cash flows from the assets, discounted at the current market determined pre tax rate in line with International Financial Reporting Standards.

The violence and turmoil following December 2007 disputed election results had a direct impact on all our Farm management staff and workers. In Kericho, we lost 70% of our workforce. The position outside Kericho was less severe, however the ripple effects of the troubles are far reaching and we await a final resolution to the troubles.

Our Management, Staff and workforce who were able to continue on our Farms should be thanked for their enormous efforts in ensuring that our business continued to run and that no damage to any property took place.

Our business plan is long term and our investment in new machinery reflects this. We are primarily a farming business and the welfare of our employees is the cornerstone to the long term success of the Group.

Dividends

In view of the unfavourable results the Directors are recommending a first and final Dividend payment of Kshs 0.5 per share or 10% payable from the reserves.

Crop

During the year, the Group manufactured a total of 8.4 Million kilos of Made Tea, a drop from last year's 10 Million. The severe drought experienced from November 2007 to March 2008 caused this reduction in crop. However we continued to receive strong support from our small Tea Growers in spite of increased pressure from our competitors.

During the year, the Farms harvested some areas of their standing timber which made a positive contribution to the Group. The Farms carry out regular assessments of their timber stocks and the timber market to ensure that harvesting of timber is operated in a sustainable manner.

Tea Market

The gross average Tea Price decreased to Kshs 117.74 per kilo from last year's gross average of Kshs 132.08. This was due to depressed prices for much of the year and the strong Kenya Shilling. The Exchange rate closed at Kshs 62.80 to the Dollar compared to last year's closing rate of Kshs 68.40.

Corporate Social Responsibility

The Group has now attained the Fair Trade accreditation and premium payments have been received for the benefit of the workers.

During the year, the Group factories also attained the ISO 22000 certification which incorporates HACCP certification, a confirmation of our high standards in manufacturing process. We have recently completed Rainforest Alliance audits and certification, thus reaffirming our commitment to conduct our business in a sustainable and environmentally friendly manner.



CHAIRMAN'S STATEMENT (Continued)

We maintain certificates of compliance from the Ethical Tea Partnership from the United Kingdom, again confirming the high standards of our operating procedures and corporate social responsibility.

We place high priority to the welfare of our employees and consistently invest in areas which directly benefit them including:

Health and Education

The Group provides extensive medical services to the employees with 5 Health Clinics and actively participates in the Nandi Hills Doctors' scheme including visiting Doctor Services and HIV/AIDs prevention programmes.

Through Kenya Tea Growers Association the Group continues to support the running and development of various sponsored Primary and Secondary Schools in Kericho and Nandi. We continue to operate 4 Primary Schools and 1 Secondary School together with bursary schemes for gifted students proceeding to Secondary education.

Environment

The Group has for many years been in the forefront with its various projects to protect the environment and ensure energy conservation as detailed below:

- Establishment of wetlands to control and negate factory effluent.
- Recycling of water used within the manufacture of Made Tea.
- Re-forestation and participation in national forestation exercises especially in the Nandi District.
- Construction and maintenance of dams and water supply reservoirs.
- Safe and proper disposal of plastics and non degradable waste materials.
- Pesticide free cultivation practices.

Our preparations and willingness to undergo audits for Rainforest Alliance certification clearly confirms our commitment to ensure our business operations comply with today's environmental requirements.

Welfare

The number of permanent and seasonal employees exceeded 4,377 with over 17,700 of their dependants who also benefit from the social and welfare amenities provided.

During the year, the Group spent over Kshs 75.5 Million on employee pensions, gratuities, leave and medical expenses over and above employee's direct wages.

Costs relating to employees welfare and educational facilities during the year totalled Kshs 46.8 Million additional to the wages and benefits to them.

Strategies and Future prospects

As we face a challenging future and ever increasing operational costs, the Directors and Management have adopted a proactive approach in the following areas:

Machinery upgrade and Modernization

The Group continues to invest heavily on the upgrade and automation of the various operations with a view to reducing the production costs as well as improving the quality of our Tea. This will be facilitated by substantial investments in our plant and machinery. This investment has, on the other hand increased our borrowings.

The Group's modernization programme over the years includes the following:

- Trials in tea and fuel timber species selection to enhance yields and quality.
- Automation of the field operations to enhance productivity and assist in supervision.
- Automation of factory operations to enhance quality.
- Investment in new machinery to enable supply of a variety of teas.
- Completion of outstanding 10 year plans.
- Outsourcing of non key operations, which also assists with local employment.



CHAIRMAN'S STATEMENT (Continued)

In our endeavour to meet the diverse customer tastes, we continue to explore different manufacturing processes in order to compliment the Black Tea production. With the additional investment in modern machinery, we hope to achieve premium prices on these products as a way to diversify and sustain our operations.

Staff Training and Motivation

We continue to place a lot of importance to the contribution our workforce and staff make towards our business objectives. Efforts are being made to ensure we recruit the right people with the appropriate skills whilst developing a well motivated team. Several programmes, including training, are designed to ensure that our workforce keeps abreast of the changes in technology and attain skills which increase their productivity and motivation. The Fairtrade certification is one of the efforts the Group has made, at a cost to ensure the welfare of our workers is enhanced through appropriate utilization of the Fairtrade premiums. The ISO 22000 and Rainforest Alliance certifications further confirm the Group's commitment of carrying out business with our workers and environment in mind.

Appreciation

During the year Mr. Alan Carmichael joined the Board as the Managing Director and his contribution is well appreciated. Mr. Carmichael has many years of experience in the tea Industry and will greatly assist in taking the Group through the demanding years ahead. Once again I would like to welcome him on behalf of the Shareholders as he joins the team.

At this juncture I would also like to mention the retirement of Mr. Solomon Koech by the end of August 2008 as the visiting Agent after 38 years of loyal service to the Group. On behalf of all, I take this opportunity to thank Solomon and wish him well in his retirement plans. Mr. Samuel Thumbi the General Manager at Changoi Estate has now taken his position and on your behalf I congratulate him for the promotion and wish him well in his additional and challenging responsibilities.

In conclusion, I would like to thank all the Farms management, staff and employees under the leadership of the General Managers Messrs. Samuel Thumbi, Tom Lloyd and John Kosgei at Changoi, Tinderet and Kaimosi respectively for their efforts during the year. My thanks also go to the Nairobi and Williamson Power staff for their support during the year.

I would also like to thank my fellow Directors for their contribution to the Management of the Group. Their business experience and advice is always most valuable.

NIGEL SANDYS-LUMSDAINE

Chairman

Wednesday, June 12, 2008

NAKALA YA MWENYEKITI

Matokeo

Ni kwa sikitiko natoa ripoti hii ya hasara ambayo kundi lilipata kutokana na utenda kazi inayozidi shillingi milioni 73.4 mwaka huu wa 2007/8 ikilinganishwa na faida ya kuridisha ya shillingi milioni 162.6 ya mwaka uliopita. Matokeo haya duni yalisababishwa na upungufu wa bei katika masoko ya kimataifa mwaka msima kufuatia wingi wa mazao katika masoko hayo. Hali hii ilianza kati kati ya mwaka uliopita. Baadaye kulifuatia kipindi cha ukame mkubwa Mashambani hali ambayo ilisababisha kuimalika kwa bei lakini zao lilikuwa la viwango vya chini kuweza kuchangia mapato mema. Hali ya kuendelea kuimalika kwa shillingi ya Kenya pia iliongezea hasara hii hasa hapo mwisho mwisho wa mwaka. Gharama ya mishahara kwa wafanyi kazi huwa sehemu kubwa sana kwa kusalisha mazao na hakuna manufaa yoyote ya kuimalika kwa shillingi ya Kenya. Mali na Kazi ya Uhandisi zilichangia jumla ya shillingi milioni 38 ambazo zilipunguza ile hasara ya Mashambani.

Kulikuwa na upungufu wa zaidi ya shillingi milioni 19.7 kutokana na maisha ya mimea ya michai na ile ya kuni ikilinganishwa na ule wa shillingi milioni 36.8 mwaka uliopita. Hii ilipunguza gharama kufuatia mapato ya chini mwaka huu. Kwa kuafikia hali moja ya maisha ya mimea kundi hutumia thamani ya sasa ya fedha zinazotarajiwa kutoka kwa mimea na kurahisishwa kwa soko la sasa na kuafikiwa kwa viwango vya ushuru kama ilivyo pendekeshwa na kanuni za uhasibu wa kimataifa.

Matukio ya vita kufuatia uchaguzi mkuu wa Decemba 2007 yalizababisha changamoto kubwa kwa wafanyi kazi kote kundini. Kule Kericho tulipoteza asili mia 70 ya wafanyi kazi. Pande zingine nje ya Kericho ziliadhirika kwa kiasi tu lakini shida hizi ziliwacha matatizo mingi ambayo yanahitaji ufumbuzi.

Wafanyi kazi wetu wote pamoja na viongozi waliobaki mashambani wanasitahili kushukuriwa kwa bidii yao kubwa ya kuzingatia kwamba waliendelea na kazi wakati huo na kwa kulinda na kuzuilia mali ya Kampuni isihaliwiwe.

Kampuni inazingatia kuendelea kufanya biashara kwa muda mrefu ujao na hali hii inadhibitishwa na jinzi tulivyo gharamia mitambo mipya viwandani. Tuna msingi wa Ukulima na ndiyo sababu tunaangazia usitawi wa wafanyi kazi wetu ilikutuwezesha kufaulu kwa siku za usoni.

Mgao

Kufuatia matokeo haya duni na mgao wa juu wa mwaka uliopita, wakurugenzi wanapendekeza mgao wa kwanza na mwisho wa sumuni au asilimia kumi kwa kila hisa ambayo italipua kutoka kwa mfuko wa akiba.

Zao

Mwaka huu Kampuni ilizalisha jumla ya kilo milioni 8.4 ikilinganishwa na milioni 10 za mwaka uliopita. Kiangazi kubwa kilichotukumba kwanza mwezi wa Novemba 2007 hadi Marchi 2008 kilisababisha upungufu huu. Wakuzaji wa nje waliendelea kuchangia vizuri ingawa kulikuwa na washindani wetu wanaonunua kwao.

Mwaka huu Mashamba yalifuna miti ya mbao na hii ilichangia faida kwa Kundi. Mashamba yanaendelea kusingatia ufunaji bora wa mazao na kufuna tu wakati soko ya mbao inafaa.

Soko ya Chai

Wastani ya bei ya chai ilipunguka hadi shillingi 117.74 ikilinganishwa na shillingi 132.08 ya mwaka uliopita. Hii ilisababishwa na upungufu wa bei na kuimalika kwa shillingi ya Kenya. Kiwango cha kubadilishana pesa kwa dolla ya Marekani wakati wa kufunga mwaka kilikuwa ni shillingi 62.8 ikilinganishwa na mwaka uliopita ambao kilikuwa shillingi 68.40

Mambo ya Kampuni na Kijamii

Kampuni zote Kundini hivi sasa zimepata vyeti vya Fair Trade na sasa wameleta malipo ya ziada kwa mambo ya jamii kwa ajili ya wafanyi kazi.

Mwaka huu pia viwanda vyote vya Kundi vilipata vyeti vya ISO 22000 ambayo inazingatia uthibitisho kwa mambo ya HACCP inayoonesha viwango vya juu kwa mambo ya uzalizi bora viwandani kwetu. Hivi sasa tunaendelea na kujitayalisha kwa ukaguzi wa Rainforest Alliance, hii ni kwa kudhibitisha kwao njinzi tunavyoendesha bishara yetu tukizingatia hali bora ya mazingira.

Bado tunamiliki vyeti vya Ethical Tea Partnership ya Ulaya ambayo inaendelea kudhibitisha hali bora tunayofanyia



NAKALA YA MWENYEKITI (Yaendelea)

Hivi sasa tuna weka kibao mbele kwa usalama wa wafanyi kazi wetu na tunaendelea kuwekesha katika nyanja zile zinazowafaidi ikiwa ni pamoja na:

Kiafya na Elimu

Kampuni inatoa huduma ya afya kwa wafanyi kazi na kuna vituo vitano vya afya, pia inashughurikia azimio la Madaktari wa Nandi Hills ambayo ni pamoja na Madaktari wa kutembelea wagonjwa na huduma za kuzuia ukimwi.

Kupitia hali ya mashauri ya Kenya Tea Growers Association Kundi linachangia uendeshaji wa mashule ya msingi na ya upili kule Kericho na Nandi. Tunaendesha shule 4 za msingi na moja ya upili. Wanafunzi werefu kutoka shule za msingi huzaidiwa kifedha kuwawezesha kuendelea na masomo kwa shule za upili.

Mazingira

Kwa miaka mingi kampuni imekuwa mbele kwa kuzingatia miradi ya kulinda mazingira na kuhakikisha miti ya kuni imefadhiwa bora kama ilivyosimuliwa hapa chini;

- Kuwepo kwa sehemu ya chemichemi ilikusuhia maji machafu kutoka viwandani.
- Usafishaji maji machafu ya viwanda ilikutumika tena.
- Kukuza upya kwa misitu kuambatana na sera za kitaifa za serikali sana sana kule wilayani Nandi.
- Ujenzi wa maboma ya kuzuia maji na viziwi vingine vya maji.
- Ukingaji na kuzuia utapakaaji wa takataka ya plastiki ovyo ovyo.
- Kukuza na kuzalisha bila kutumia madawa ya kuua wadudu.

Kujitokesha na kuendelea kujitayalisha kwa ukaguzi chini ya Rainforest Alliance, ni kudhibitisha vile tumejitolea kuona kwamba njia bora tunayoendesha bishara yetu na kuzingatia hali bora ya mazingira na matakua ya jamii yetu.

Usitawi

Idadi ya wafanyi kazi wa kudumu na wa muda ilizidi 4,377 na zaidi ya watu 17,700 wanaotegemea Kundi kwa mambo ya usitawi wa jamii.

Mwaka huu Kampuni iligharamia zaidi ya shilingi milioni 75.5 kwa wafanyi kazi kulipia penseni, likizo pamoja na matibabu.

Kundi liligharamia malipo ya ziada ambayo ni tofauti na ile mishahara waliolipua kwa rasilimali ya miradi inayohusu wafanyi kazi kwa jumla ya shilingi milioni 46.8.

Hila na tazamio

Tukitazamia siku za usoni kuna changamoto mingi hasa kwa ongezeko la mishahara na kawaida na wakurugenzi na viongozi wamekubali kuendeleza mbinu zingine mpya kwa maeneo yafuatayo:

Kuimaliza Mitambo Viwandani

Kundi linaendelea kugharamia na kusitawisha utenda kazi kwa nia ya kupunguza gharama ya uzalizi pamoja na kupata mazao ya hali bora. Hii itafanyika kwa kugharamia rasilimali kwa mitambo na viwanda ambayo kwa upande mwingine imeongeza mikobo yetu. Kundi linamipango ya kuwa na mitambo ya kisasa kwa miaka ijayo ambayo ni pamoja na yafuatayo;

- Majaribio kupanda michai na miti ya kuni ambayo itazalisha viwango vya juu na mazao bora
- Kutumia mitambo ya kisasa mashambani ilikuchangia mazao na uongozi bora
- Kutumia mitambo ya kisasa viwandani kuimaliza ubora wa mazao
- Kugharamia mitambo mpya kwa ajili ya kuzalisha aina mbali mbali ya chai.
- Kukodisha nje kazi sizizo za kiini ilikuchangia kwa kuajiri watu wa mitaa ya karibu.
- Kumaliza mipango ya miaka kumi ijayo.

Ilikutosheleza wateja wetu tunazingatia na kutafuta mbinu mpya ya kuzalisha mazao bora iliyo tofauti na yale ya kawaida kwa kuongezea thamani kwa chai nyeusi. Kwa kugharamia mitambo mpya tunatarajia kupata bei ya juu kwa mazao yaliyoongezewa thamana kama njia moja ya kueneza biashara zetu.



NAKALA YA MWENYEKITI (Yaendelea)

Mafunzo kwa wafanyi kazi

Tunaendelea kuzingatia umuhimu wa wafanyi kazi wetu na mchango wao kwa kazi ya utendaji ilikuimaliza bishara yetu. Mbinu zote zinatumiwa kuona kwamba wanaojiliwa ni wale wameitimu na ambao wako na ujuzi wa kufanya kazi waliyoajiliwa kuifanya.

Kuna mipango mingi ya kuhakikisha kwamba mafunzo yanatolewa kwa wafanya kazi ilikuambatana na mabadiliko ya kitekinologia ambayo itaongezea matokeo yao. Mpango wa Fair-trade ni moja wao. Kampuni imegharamia kuhakikisha kwamba wafanyi kazi wanafaidika kwa njia ya mapato kutoka Fair-trade kwa ajili ya usitawi wao. Pia ISO 22000 na Rainforest Alliance ni dhibitisho kwamba Kundi linaendelea na kazi ya kuhakikisha kwamba mambo ya wafanyi kazi na ya mazingira inazingatiwa.

Shukrani

Mwaka huu Bwana Alan Carmichael aliingia kwa Bodi kama Mkurugenzi Mkuu na tunashukru kwa mchango wake hasa mnamo mwishoni wa mwaka. Bwana Carmichael anaujuzi mkubwa kwa soko ya chai na pia kwa kuzalisha na atazaidia Kampuni kwa maitaji yake makuu miaka ijayo. Kwa mara nyingine ningependa kumukaribisha kwa niaba ya wenye hisa.

Wakati huu ningependa pia kuangazia kusitaafu kwa Bwana Solomon Koech ifikiapo mwezi wa Augusti mwaka huu wa 2008 kama Mkurugenzi wa Ustadi baada ya miaka 38 ya kazi tiifu. Kwa niaba ya wote ningependa kujukwa wakati huu kumshukru na kumtakia mema kwa mipango ya kustaafu kwake. Bwana Samuel Thumbi Meneja Mkuu wa Changoi ndiye atakaye chukuwa kutoka kwake na kwaniaba yenu ninampongeza kwa kupanda daraja na kumuomba memo kwa ongezeko ya kazi na changamoto mpya.

Na mwisho ningependa kushukru mameneja wote wa mashambani na wafanyi kazi chini ya uongozi wa Meneja wakuu Bwana Tom Lloyd na John Kosgei wakiwa Tinderet na Kaimosi kwa kazi yao wakati wa mwaka. Shukrani zangu pia zinaendea wafanyi kazi wa offisi ya Nairobi pamoja na wale wa Williamson Power kwa mchango wao mwaka huu.

Pia ningependa kuwashukru wakurugenzi wenzangu kwa kuhudhuria mikutano ya Bodi na vile vile kwa kutembelea mashamba yote mwaka huu. Maarifa yao na ujuzi wa kibiashara walionao ni wa thamani kubwa kwetu.

NIGEL SANDYS-LUMSDAINE

Mwenyekiti

Jumatano Juni 12, 2008



CORPORATE GOVERNANCE

Corporate Governance is the process and structure used to direct and manage business affairs of the Company towards enhancing prosperity and corporate accounting with the ultimate objective of realizing shareholders long term value while taking into account the interest of other stakeholders.

The Company is committed to business integrity and professionalism in all its activities. As part of this commitment the Board fully supports issues articulated by the Capital Market Authority so as to bring the level of Governance in line with International Standards.

We confirm that we are governed by the Rules and Regulations as issued by both the Nairobi Stock Exchange (NSE) and the Capital Markets Authority (CMA).

BOARD OF DIRECTORS

The full Board meets at least once every quarter for scheduled meetings and on other occasions to deal with specific matters that may require attention between the scheduled meetings. The Directors are given appropriate and timely information so that they can make well informed and balanced business decisions as well as planning for the future and growth of the Company. Scheduled meetings include review of annual and half year accounts and annual budgets together with monitoring of business and operational issues. Except for direction and guidance on general policy, the Board has delegated authority for conduct of the day-to-day business to the Chief Executive assisted by a Team of able Managerial Staff.

AUDIT COMMITTEE

The Board constituted the Audit Committee in 1998 which meets at least four times in the year and chaired by an independent non executive Director. Its responsibilities include but not limited to review of financial information in particular half year and annual financial statements, annual budgets, liaison with the external auditor and maintaining oversight on internal controls.

INTERNAL CONTROLS

The Board is responsible for the Company's system of internal controls and for reviewing their effectiveness. The Company has defined procedures and financial controls to ensure the reporting of complete and accurate accounting information.

The systems in place are designed to ensure that authority is obtained for any major transaction and that the Company complies with all Kenya Laws and Regulations, including those that govern sound financial management. Procedures are in place to ensure that all assets are subject to proper physical controls and these are professionally revalued every three years.

COMMUNICATION WITH SHARE HOLDERS

The Company places a great deal of importance on communication with its shareholders and publishes in the local dailies its financial statements on half year and annual basis. The full year report and accounts are distributed to all shareholders on an annual basis.

MAJOR SHAREHOLDERS AND ANALYSIS OF SHAREHOLDERS

The Company files with CMA and NSE a quarterly report on the top 10 major share holders and investors return on a monthly basis.



CORPORATE GOVERNANCE (Continued)

As at 31 March 2008 the top 10 major shareholders were as follows;

Name	Location	No of Shares	%
1. Ngong Tea Holdings Limited	England	4,506,164	51.46
2. Upstream Investments Limited	Nairobi	324,673	3.71
3. Kirtesh P.Shah	Nairobi	291,221	3.33
4. Barclays (Kenya) Nominees Ltd A/C 9323 Nr	Nairobi	175,700	2.01
5. Barclays (Kenya) Nominees Ltd A/c 9230	Nairobi	115,792	1.32
6. Old Mutual Life Assurance Co.Ltd	Nairobi	112,444	1.28
7. Kenya Commercial Bank Staff Pension	Nairobi	112,011	1.28
8. Satchu Aly-Khan	Nairobi	103,800	1.19
9. Barclays (Kenya) Nominees Ltd A/c 1256	Nairobi	100,000	1.14
10. Phoenix E.A. Assurance Co. Ltd	Nairobi	84,856	0.97

Analysis of Shareholders

By region:

Region	Number	Shares Held	%
Foreign investors	61	4,942,939	56.50
Local & East Africa investors (Individuals)	1,077	2,086,106	23.80
Local & East Africa investors (Institutional)	161	1,727,275	19.70
	<u>1,299</u>	<u>8,756,320</u>	<u>100.00</u>

By shares distribution:

Less than 500	574	148,196	1.70
500-10,000	667	1,445,497	16.50
10,001- 100,000	50	1,533,922	17.50
100,001-1,000,000	7	1,122,541	12.84
Above 1,000,000	1	4,506,164	51.46
	<u>1,299</u>	<u>8,756,320</u>	<u>100.00</u>



REPORT OF THE DIRECTORS

The directors present their report together with the audited financial statements of the group for the year ended 31 March 2008.

ACTIVITIES

The principal activities of the group are the cultivation, manufacture and sale of tea, investment in property and the sale and servicing of generators.

GROUP RESULTS

	Sh'000
Loss before taxation	(143,984)
Taxation credit	46,467
Loss after taxation	(97,517)
Atributable to:	
Equity holders of parent company	(86,737)
Minority interest	(10,780)
Loss for the year	(97,517)

DIVIDENDS

The directors recommend the payment of a first and final dividend of Sh 0.5 per share, totalling Sh. 4,378,200 in respect of the year.

DIRECTORS

The current board of directors is shown on page 3.

D B White and S C A Koech retire by rotation in accordance with section 94 of the company's Articles of Association and, being eligible, offer themselves for re-election.

In accordance with Article 114 of the Articles of Association, Mr. A L Carmichael who was appointed a Director of the Company on 1 February 2008 retires, and being eligible offers himself for re-election.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with the provisions of section 159 (2) of the Companies Act.

BY ORDER OF THE BOARD

M.M. WACHIRA

Secretary

Wednesday, June 12, 2008



STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and of the company as at the end of the financial year and of the operating results of the group for that year. It also requires the directors to ensure that the group and the company keep proper accounting records, which disclose with reasonable accuracy at any time the financial position of the group and the company. They are also responsible for safeguarding the assets of the group.

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and of the company and of the group's operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company and its subsidiaries will not remain going concerns for at least the next twelve months from the date of this statement.

A. L. CARMICHAEL

Director

12 June, 2008

E. N. K. WANJAMA

Director

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF WILLIAMSON TEA KENYA LIMITED

We have audited the financial statements of Williamson Tea Kenya Limited and its subsidiaries set out on pages 16 to 56 which comprise the consolidated and company balance sheets as at 31 March 2008, and the consolidated income statement, consolidated and company statements of changes in equity and consolidated cash flow statement for the year then ended, together with the summary of significant accounting policies and other explanatory notes, and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

The group's directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the provisions of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances. Our responsibility is to express an opinion on these financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment and include an assessment of the risk of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered internal controls relevant to the group's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by directors, as well as evaluating the overall presentation of the financial statements.

We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion:

- (a) proper books of account have been kept by the company and the company's balance sheet is in agreement therewith;
- (b) the financial statements give a true and fair view of the state of affairs of the company and the of group at 31 March 2008 and of the loss and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and comply with the Kenyan Companies Act.

Deloitte & Touche

Certified Public Accountants

27 June, 2008



**CONSOLIDATED INCOME STATEMENT
FOR THE YEAR ENDED 31 MARCH 2008**

	Note	2008 Sh'000	2007 Sh'000
REVENUE FROM SALE OF TEA	3(b)	1,095,341	1,206,528
FAIR VALUE LOSS ON TEA	17	(29,099)	(42,071)
OPERATING INCOME		1,066,242	1,164,457
COST OF SALES		(1,019,782)	(932,757)
GROSS PROFIT		46,460	231,700
OTHER OPERATING INCOME		127,822	179,049
FAIR VALUE CHANGES ON – Timber	17	10,238	9,317
- Firewood	17	(836)	(4,097)
DISTRIBUTION COSTS		(102,926)	(82,208)
ADMINISTRATIVE EXPENSES		(151,766)	(113,527)
FINANCE COSTS	6	(32,197)	(6,980)
SHARE OF RESULTS OF ASSOCIATE COMPANIES	14	(40,779)	813
(LOSS)/PROFIT BEFORE TAXATION		(143,984)	214,067
TAXATION CREDIT/(CHARGE)	7	46,467	(71,233)
(LOSS)/PROFIT AFTER TAXATION FOR THE YEAR	8	(97,517)	142,834
ATTRIBUTABLE TO:			
EQUITY HOLDERS OF THE PARENT		(86,737)	139,671
MINORITY INTEREST	26	(10,780)	3,163
		(97,517)	142,834
COMPRISING:			
(LOSS)/PROFIT ARISING FROM OPERATING ACTIVITIES		(73,451)	162,617
LOSS ARISING FROM CHANGES IN FAIR VALUE OF BIOLOGICAL ASSETS (NET OF ATTRIBUTABLE TAXATION)		(13,286)	(22,946)
MINORITY INTEREST		(10,780)	3,163
(LOSS)/PROFIT FOR THE YEAR		(97,517)	142,834
(LOSS)/EARNINGS PER SHARE - Basic and diluted	9	Sh (9.91)	Sh 15.95
DIVIDENDS PER SHARE	10	Sh 0.50	Sh 5.00



CONSOLIDATED BALANCE SHEET AS AT 31 MARCH 2008

	Note	2008 Sh'000	2007 Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	11	998,978	960,450
Prepaid operating leases	12	77,214	77,298
Investment properties	13	394,500	394,500
Investment in associate companies	14	265,277	300,630
Other investments	16	1,349	1,349
Biological assets	17	1,240,306	1,246,488
		<u>2,977,624</u>	<u>2,980,715</u>
Current assets			
Inventories	18	121,251	215,479
Trade and other receivables	19	344,240	301,821
Due from associate companies	20	50,291	24,547
Taxation recoverable	7(c)	19,174	8,702
Short term deposits	23	-	59,935
Cash and bank balances		67,745	163,650
		<u>602,701</u>	<u>774,134</u>
Total assets		<u>3,580,325</u>	<u>3,754,849</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	25	43,782	43,782
Revaluation surplus		326,901	359,415
Revenue reserve		2,074,174	2,172,179
Equity attributable to equity holders of parent company		<u>2,444,857</u>	<u>2,575,376</u>
Minority interest	26	79,237	91,979
Total equity		<u>2,524,094</u>	<u>2,667,355</u>
Non current liabilities			
Deferred income taxes	27	588,115	627,621
Service gratuity	28	122,497	122,454
Borrowings	29	10,976	12,655
Finance lease obligations	30	58,613	-
		<u>780,201</u>	<u>762,730</u>
Current liabilities			
Trade and other payables	31	216,082	269,583
Due to associate companies	20	1,001	-
Taxation payable	7(c)	-	23,120
Borrowings	29	47,372	28,508
Finance lease obligations	30	6,661	-
Unclaimed dividends	32	4,914	3,553
		<u>276,030</u>	<u>324,764</u>
Total equity and liabilities		<u>3,580,325</u>	<u>3,754,849</u>

The financial statements on pages 16 to 56 were approved by the board of directors on 12 June 2008 and were signed on its behalf by:

A.L. CARMICHAEL
E.N.K. WANJAMA

} Directors



COMPANY BALANCE SHEET AS AT 31 MARCH 2008

	Note	2008 Sh'000	2007 Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	11	448,373	456,401
Prepaid operating leases	12	11,825	11,838
Investment properties	13	394,500	394,500
Investment in associate companies	14	79,837	79,837
Investment in subsidiary companies	15	109,877	109,877
Other investments	16	546	546
Biological assets	17	627,727	556,674
		<u>1,672,685</u>	<u>1,609,673</u>
Current assets			
Inventories	18	45,231	69,447
Trade and other receivables	19	121,009	114,634
Due from associate companies	20	45,555	20,588
Due from subsidiary companies	21	92,912	59,980
Loans to subsidiary companies	22	7,500	7,500
Tax recoverable	7(c)	7,784	-
Short term deposits	23	-	59,935
Cash and bank balances		47,342	82,140
		<u>367,333</u>	<u>414,224</u>
Total assets		<u>2,040,018</u>	<u>2,023,897</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	25	43,782	43,782
Revaluation surplus		157,710	175,776
Revenue reserve		1,303,868	1,286,167
		<u>1,505,360</u>	<u>1,505,725</u>
Shareholders' funds			
Non current liabilities			
Deferred income taxes	27	316,376	312,882
Service gratuity	28	65,980	67,616
Borrowings	29	7,063	2,109
Finance lease obligations	30	6,018	-
		<u>395,437</u>	<u>382,607</u>
Current liabilities			
Trade and other payables	31	104,878	87,465
Due to subsidiary companies	21	26,362	26,647
Taxation payable	7(c)	-	16,634
Borrowings	29	1,565	1,266
Finance lease obligations	30	1,502	-
Unclaimed dividends	32	4,914	3,553
		<u>139,221</u>	<u>135,565</u>
Total equity and liabilities		<u>2,040,018</u>	<u>2,023,897</u>

The financial statements on pages 16 to 56 were approved by the board of directors on 12 June 2008 and were signed on its behalf by:

A.L. CARMICHAEL
E.N.K. WANJAMA

} Directors



CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 MARCH 2008

	Share capital	Revaluation surplus	Revenue reserve			Equity attributable to equity holders of the parent	Minority interest	Total
	Sh'000	Sh'000	Biological assets gains/(losses) Sh'000	Other Sh'000	Total Sh'000	Sh '000	Sh '000	Sh'000
At 1 April 2006	43,782	163,996	529,903	1,498,536	2,028,439	2,236,217	82,043	2,318,260
Revaluation surplus	-	257,997	-	-	-	257,997	9,869	267,866
Deferred tax revaluation surplus (note 27)	-	(77,400)	-	-	-	(77,400)	(2,961)	(80,361)
Share of associate revaluation surplus	-	23,269	-	-	-	23,269	-	23,269
Surplus realised on disposal of revalued assets	-	(449)	-	449	449	-	-	-
Excess depreciation transfer	-	(11,618)	-	11,618	11,618	-	-	-
Deferred tax on excess depreciation	-	3,620	-	(3,620)	(3,620)	-	-	-
Profit for the year	-	-	(22,946)	162,617	139,671	139,671	3,163	142,834
Dividends paid - 2006	-	-	-	(4,378)	(4,378)	(4,378)	(135)	(4,513)
At 31 March 2007	<u>43,782</u>	<u>359,415</u>	<u>506,957</u>	<u>1,665,222</u>	<u>2,172,179</u>	<u>2,575,376</u>	<u>91,979</u>	<u>2,667,355</u>
At 1 April 2007	43,782	359,415	506,957	1,665,222	2,172,179	2,575,376	91,979	2,667,355
Excess depreciation transfer	-	(46,146)	-	46,146	46,146	-	-	-
Deferred tax on excess depreciation	-	13,935	-	(13,935)	(13,935)	-	-	-
Surplus realised on disposal of revalued assets	-	(303)	-	303	303	-	-	-
Loss for the year	-	-	(13,286)	(73,451)	(86,737)	(86,737)	(10,780)	(97,517)
Dividends paid -2007	-	-	-	(43,782)	(43,782)	(43,782)	(1,962)	(45,744)
At 31 March 2008	<u>43,782</u>	<u>326,901</u>	<u>493,671</u>	<u>1,580,503</u>	<u>2,074,174</u>	<u>2,444,857</u>	<u>79,237</u>	<u>2,524,094</u>

The revaluation surplus arises on revaluation of property, plant and equipment and is not distributable.

The revenue reserve on biological assets represents surplus arising from fair valuation of biological assets in line IAS 41 on Agriculture.

Other revenue reserves represents accumulated surplus arising from normal operating activities.



**COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2008**

	Share capital	Revaluation surplus	Biological assets gains/(losses)	Revenue reserve Other	Total	Total
	Sh'000	Sh;000	Sh'000	Sh'000	Sh;000	Sh'000
At 1 April 2006	43,782	98,490	233,162	944,009	1,177,171	1,319,443
Revaluation surplus	-	119,606	-	-	-	119,606
Deferred tax on revaluation surplus (note 27)	-	(35,882)	-	-	-	(35,882)
Excess depreciation transfer	-	(9,197)	-	9,197	9,197	-
Deferred tax on excess depreciation	-	2,759	-	(2,759)	(2,759)	-
Profit for the year	-	-	487	106,449	106,936	106,936
Dividends paid - 2006	-	-	-	(4,378)	(4,378)	(4,378)
At 31 March 2007	<u>43,782</u>	<u>175,776</u>	<u>233,649</u>	<u>1,052,518</u>	<u>1,286,167</u>	<u>1,505,725</u>
At 1 April 2007	43,782	175,776	233,649	1,052,518	1,286,167	1,505,725
Excess depreciation transfer	-	(25,808)	-	25,808	24,808	-
Deferred tax on excess depreciation	-	7,742	-	(7,742)	(7,742)	-
Profit for the year	-	-	48,409	(4,992)	43,417	43,417
Dividends paid - 2007	-	-	-	(43,782)	(43,782)	(43,782)
At 31 March 2008	<u>43,782</u>	<u>157,710</u>	<u>282,058</u>	<u>1,021,810</u>	<u>1,303,868</u>	<u>1,505,360</u>

The revaluation surplus arises on revaluation of property, plant and equipment and is not distributable.

The revenue reserve on biological assets represents surplus arising from fair valuation of biological assets in line with IAS 41 on Agriculture.

Other revenue reserves represents accumulated surplus arising from normal operating activities.



CONSOLIDATED CASH FLOW STATEMENT FOR THE YEAR ENDED 31 MARCH 2008

	Note	2008 Sh'000	2007 Sh'000
OPERATING ACTIVITIES			
Cash generated from operations	33(a)	2,110	224,912
Interest paid	6	(8,047)	(4,468)
Taxation paid	7(c)	(39,784)	(13,974)
Net cash (used in)/generated from operating activities		(45,721)	206,470
INVESTING ACTIVITIES			
Purchase of plant and equipment	33(c)	(89,948)	(62,185)
Purchase of Zinga farm by Tea Properties Limited		-	(38,900)
Proceeds from disposal of plant and equipment		8,474	2,221
Expenditure on biological assets		(11,703)	(27,193)
Dividend received - from associated company	14	7,727	774
- other		1,480	1,446
Net cash used in investing activities		(83,970)	(123,837)
FINANCING ACTIVITIES			
Loans received	33(b)	3,011	18,585
Loans repaid	33(b)	(1,844)	(17,768)
Dividends paid to shareholders	32	(42,421)	(3,018)
Dividends paid to minority interest	26	(1,962)	(135)
Net cash used in financing activities		(43,216)	(2,336)
(DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS		(172,907)	80,297
CASH AND CASH EQUIVALENTS AT 1 APRIL		202,671	122,374
CASH AND CASH EQUIVALENTS AT 31 MARCH	33(d)	29,764	202,671



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2008

1 ACCOUNTING POLICIES

Statement of compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards. The principal accounting policies adopted are as stated below:

Adoption of new and revised International Financial Reporting Standards (IFRS)

Standards and Interpretations effective in the current period

In the current year, the group has adopted IFRS 7 Financial Instruments: Disclosures which is effective for annual periods beginning 1 January 2007 and the consequential amendments to IAS 1 Presentation of Financial Statements.

The impact of the adoption of IFRS 7 and the changes to IAS 1 has been to expand the disclosures provided in these financial statements regarding the group's financial instruments and management of capital.

Four interpretations issued by the International Financial Reporting Interpretations Committee are effective for the current period. These are IFRIC 7; Applying the Restatement Approach under IAS 29, Financial Reporting in Hyperinflationary Economies, IFRIC 8; Scope of IFRS 2, IFRIC 9; Reassessment of embedded derivatives and IFRIC 10; Interim Financial Reporting and Impairment. The adoption of these interpretations has not led to any changes in the group's accounting policies.

Standards and Interpretations issued but not effective in the current period

At the date of approval of these financial statements, the following new or revised Standards and Interpretations were in issue but not yet effective:

- IFRS 8 on Operating Segments
- IFRIC 11 - IFRS 2 Group and Treasury Share Transactions
- IFRIC 12 - Service Concession Arrangements
- IFRIC 13 - IAS 18 Revenue: Customer Loyalty Programs
- IFRIC 14 - IAS 19 Employee Benefits: Effect of Minimum Funding Requirements on Asset Ceiling.

The adoption of these standards and interpretations, when effective, will have no material impact on the financial statements of the group.

Basis of preparation

The consolidated financial statements are prepared under the historical cost convention as modified by the revaluation of certain assets.

Consolidation

Subsidiary undertakings, being those companies in which the group either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations, have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the group and are no longer consolidated as from the date of disposal. All inter company transactions balances and unrealised surpluses and deficits on transactions with the subsidiary company have been eliminated.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2008

1 ACCOUNTING POLICIES (Continued)

Consolidation (Continued)

The group financial statements reflect the result of the consolidation of the financial statements of the company and its subsidiaries, details of which are disclosed in note 15, and include the group's share of the results of the associate companies as disclosed in note 14, all made up to 31 March.

Minority interests in the net assets of consolidated subsidiaries are identified separately from the group's equity therein. Minority interests consist of the amount of those interests at the date of the original business combination and the minority's share of changes in equity since the date of the combination. Losses applicable to the minority in excess of the minority's interest in the subsidiary's equity are allocated against the interests of the group except to the extent that the minority has a binding obligation and is able to make an additional investment to cover the losses.

Investments in subsidiary companies in the company's books are carried at cost less provision for impairment.

Investments in associate companies

Investments in associated undertakings are accounted for using the equity method of accounting. These are undertakings in which the group has between 20% and 50% of the voting rights and over which the group exercises significant influence but which it does not control.

Under the equity method, investments in associates are carried in the consolidated balance sheet at cost as adjusted for post-acquisition changes in the Group's share of the net assets of the associate, less any impairment in the value of individual investments. Losses of an associate in excess of the Group's interest in that associate are recognised only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate. A listing of the group's associated undertakings is shown in note 14.

In the company's books, investments in associated companies are carried at cost less provision for impairment.

Revenue recognition

Sales are recognised upon despatch of products and are stated net of returns, discounts and value added tax.

Rental income is recognised on the accruals basis and dividend income is recognised when the shareholder's right to receive payment has been established.

Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable.

Inventories

Made tea inventories are stated at the lower of cost and net realisable value. Made tea cost comprises fair value of tea leaf less estimated point of sale costs at the point of harvest plus actual costs incurred in the processing of green leaf to made tea. Net realisable value represents the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

Generator stocks are stated at the lower of purchase cost and net realisable value.

Consumable stores inventories are stated at weighted average cost.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2008

1 ACCOUNTING POLICIES (continued)

Biological assets

Biological assets (tea bushes, fuel plantations and timber plantations) and agricultural produce have been stated at their fair value less estimated point-of-sale costs.

The fair value of tea bushes is determined based on the present value of expected net cash flows discounted at a current market-determined pre-tax rate. The fair values of fuel and timber plantations are determined based on the prices existing in the market. Details of the significant assumptions made in determining the fair value of biological assets are set out on note 17.

The cost of replanting, infilling and upkeep are recognised as an expense in the income statement.

Property, plant and equipment

Property, plant and equipment are stated at cost or as professionally revalued less accumulated depreciation and any impairment losses.

Professional valuations are carried out in accordance with the company's policy of revaluing certain items of property, plant and equipment from time to time. The last valuation was performed as at 31 March 2007.

The bases of valuation are as follows:

Land – open market value for the existing use
Other assets – net current replacement cost.

Increases in the carrying amount arising on revaluation are credited to a revaluation surplus. Decreases that offset previous increases of the same asset are charged against the revaluation surplus; all other decreases are charged to the income statement.

Depreciation

No depreciation is provided on freehold land. Capital work in progress is not depreciated until the asset is brought into use.

Other items of property, plant and equipment are depreciated on a straight line basis to write off the cost or valuation over their estimated useful lives. The annual rates generally in use are as follows:

Buildings	5%
Dams	2.5%
Machinery and equipment	10%
Tractors and accessories	10 - 25%
Motor vehicles	25%
Office equipment, furniture and fittings	10%
Computers	25%

Each year the difference between depreciation based on the revalued carrying amount of an asset (the depreciation charged to the income statement) and depreciation based on the asset's original cost is transferred from the revaluation surplus to revenue reserves.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2008

1 ACCOUNTING POLICIES (continued)

Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Investment properties

Investment properties are treated as long term investments and carried at market value for existing use as determined regularly by external independent valuers. Investment properties are not subject to depreciation. Changes in their carrying amounts are dealt with in the income statement.

On disposal of an investment property, the difference between the net disposal proceeds and the carrying amount is charged or credited to the income statement.

Taxation

Income tax expense represents the sum of the current tax payable and the deferred taxation.

Current taxation is provided on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred income tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income tax.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised

Provision for employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave accrued at the balance sheet date.

The group's unionisable staff who resign or whose services are terminated either due to illness or other reasons after completion of ten years of continuous and meritorious service are entitled to twenty one days pay for each completed year of service by way of gratuity, based on the wages or salary at the time of such resignation or termination of services, as provided for in the trade union agreement. An employee who is dismissed or terminated for gross misconduct is not entitled to gratuity. The service gratuity is provided for in the financial statements at present value of benefits payable as it accrues to each employee.

Retirement benefit obligations

The group operates a defined contribution scheme for eligible non-unionisable employees. The assets of the scheme are held in a separate trustee administered fund.. The group's contributions to the defined contribution plan are charged to the income statement in the year to which they relate.

The group also contributes to the statutory National Social Security Fund. This is a defined contribution scheme registered under the National Social Security Act. The group's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of Sh 200 per month per employee. The group's contributions are charged to the income statement in the year to which they relate.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2008

1 ACCOUNTING POLICIES (continued)

Impairment

At each balance sheet date, the group reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognized in the income statement whenever the carrying amount of the asset exceeds its recoverable amount.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Rental income from operating leases is recognised on a straight line basis over the terms of the relevant leases.

Rentals payable under operating leases are charged to income on a straight-line basis over the term of the relevant lease.

Assets held under finance leases are recognised as assets of the group at their fair value at the date of acquisition or, if lower, at the present value of the minimum lease payments. The corresponding liability to the lessor is included in the balance sheet as a finance lease obligation. Lease payments are apportioned between finance charges and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged directly against income.

Foreign currencies

Assets and liabilities expressed in foreign currencies are translated into Kenya Shillings at the rates of exchange ruling at the balance sheet date. Transactions during the year are translated at the rates ruling at the dates of the transactions. Gains and losses on exchange are dealt with in the income statement.

Financial instruments

The group classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans and receivables; held-to-maturity investments; and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition.

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the company provides money, goods or services directly to a debtor with no intention of trading the receivable.

Held to maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available for sale.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2008

1 ACCOUNTING POLICIES (continued)

Financial instruments (Continued)

Available-for-sale financial assets

Financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity.

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the company has transferred substantially all risks and rewards of ownership.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are included in the income statement in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised directly in equity, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously recognised in equity is recognised in the income statement.

Bank borrowings

Interest bearing bank loans and overdrafts are recorded at the proceeds received, net of direct costs. Finance charges, including premiums payable on settlement or redemption, are accounted for on an accrual basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period in which they arise.

Investments

Unquoted investments are classified as available for sale and are stated at fair value.

Trade receivables

Trade receivables are stated at their nominal value as reduced by appropriate allowances for estimated irrecoverable amounts.

Trade payables

Trade payables are stated at their nominal value.

Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and demand deposits, and other short-term highly liquid investments that are readily convertible to a known amounts of cash and are subject to an insignificant risk of changes in value.

Dividends payable

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are not accrued for until ratified in an Annual General Meeting.



NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2008

1 ACCOUNTING POLICIES (continued)

Segmental reporting

Segment results include revenue and expenses directly attributable to a segment.

Segment assets and liabilities comprise those operating assets and liabilities that are directly attributable to the segment or can be allocated to the segment on a reasonable basis.

Capital expenditure represents the total cost incurred during the year to acquire segment assets that are expected to be used during more than one period (property, plant and equipment).

Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

2 CRITICAL JUDGMENTS IN APPLYING THE GROUP'S ACCOUNTING POLICIES

In the process of applying the group's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial period. Estimates and judgments are continually evaluated and are based on historical experience and other factors including expectations of future events that are believed to be reasonable under the circumstances. These are dealt with below:

Biological assets

In determining the fair value of biological assets, the group uses the present value of expected cashflows from the asset discounted at the current market determined pre tax rate. The objective of a calculation of the present value of expected net cash flows is to determine the fair value of a biological asset in its present location and condition. The group considers this in determining an appropriate discount rate to be used and in estimating expected net cash flows. Management uses estimates based on historical data relating to yields, prices of made tea and exchange rates. The methodology and assumptions used for estimating both the amount and timing of future cashflows are reviewed to reduce any differences between estimates and actual experience. The significant assumptions are set out in note 17.

Property, plant and equipment

Critical estimates are made by directors in determining the useful lives and residual values to property, plant and equipment based on the intended use of the assets and the economic lives of those assets. Subsequent changes in circumstances or prospective utilisation of the assets concerned could result in the actual useful lives or residual values differing from initial estimates.

Impairment losses

At each balance sheet date, the group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the group estimates the recoverable amount of the cash generating unit to which the asset belongs. Any impairment losses are recognised as an expense immediately. Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount. A reversal of an impairment loss, other than that arising from goodwill, is recognised as income immediately.



NOTES TO THE FINANCIAL STATEMENTS (Continued)

3 SEGMENTAL INFORMATION

(a) Primary reporting format – Business segments

	Tea Sh '000	Property Sh '000	Generator trading Sh '000	Group Sh '000
2008				
Revenue	1,095,341	-	-	1,095,341
Other operating revenue	17,669	30,261	79,892	127,822
Loss before tax	(182,354)	31,996	6,374	(143,984)
Group's share of associated companies' results	(40,779)	-	-	(40,779)
Segment assets	3,120,022	394,500	65,803	3,580,325
Segment liabilities	1,042,257	-	13,974	1,056,231
Depreciation	107,876	-	1,094	108,970
Amortisation	84	-	-	84
Capital expenditure	154,741	-	481	155,222
2007				
Revenue	1,206,528	-	-	1,206,528
Other operating revenue	31,738	70,693	76,618	179,049
Profit before tax	143,493	64,162	6,412	214,067
Group's share of associated companies' results	813	-	-	813
Segment assets	3,303,199	394,500	57,150	3,754,849
Segment liabilities	1,073,700	-	13,794	1,087,494
Depreciation	67,814	-	1,307	69,121
Amortisation	83	-	-	83
Capital expenditure	61,961	-	224	62,185
			2008 Sh'000	2007 Sh'000

(b) Secondary reporting – geographical segments

The group's tea revenue is derived from the following markets:

Offshore	956,972	1,050,876
Kenya	138,369	155,652
	<u>1,095,341</u>	<u>1,206,528</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2008 Sh'000	2007 Sh'000
4 (LOSS)/PROFIT BEFORE TAX		
The (loss)/profit before tax is arrived at after charging:		
Amortisation (note 12)	84	83
Depreciation (note 11)	108,970	69,121
Directors' remuneration:		
Fees	500	583
Other emoluments	10,345	10,408
Staff costs (Note 5)	421,827	414,079
Auditors' remuneration	4,892	4,491
	<u> </u>	<u> </u>
and after crediting:		
Operating lease rental income	30,262	31,193
Fair value of agricultural produce harvested during the year	147,858	385,746
Dividend income	1,480	1,446
Profit on disposal of property plant and equipment	2,562	372
Gain on valuation of investment property	-	39,500
	<u> </u>	<u> </u>
5 STAFF COSTS		
Wages and salaries	346,309	355,366
Social security costs (NSSF)	10,139	11,219
Pension costs (defined contribution plan)	5,308	2,842
Service gratuity and other terminal benefits	24,108	21,092
Leave pay	24,380	7,067
Medical expenses	11,583	16,493
	<u>421,827</u>	<u>414,079</u>
The average number of staff employed by the group during the year was as follows:	Number	Number
Permanent	3,474	3,692
Seasonal	903	1,285
	<u>4,377</u>	<u>4,977</u>
	Sh'000	Sh'000
6 FINANCE COSTS		
Interest expense:		
- bank overdrafts	5,733	2,950
- bank loans	2,314	1,351
- group loans	-	167
Net foreign exchange losses	24,150	2,512
	<u>32,197</u>	<u>6,980</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	GROUP		COMPANY	
	2008 Sh'000	2007 Sh'000	2008 Sh'000	2007 Sh'000
7 TAXATION				
(a) TAX CHARGE				
Current taxation based on the adjusted profit at 30%				
-current year	9,125	37,931	6,683	22,766
-prior year	(2,933)	(2,273)	110	(2,274)
	<u>6,192</u>	<u>35,658</u>	<u>6,793</u>	<u>20,492</u>
Deferred tax (credit)/charge-note 27	(39,506)	34,395	3,494	25,659
	<u>(33,314)</u>	<u>70,053</u>	<u>10,287</u>	<u>46,151</u>
Share of associated company's taxation:				
Current taxation	11	3,276	-	-
Deferred tax credit	(13,164)	(2,096)	-	-
	<u>(13,153)</u>	<u>1,180</u>	<u>-</u>	<u>-</u>
	<u>(46,467)</u>	<u>71,233</u>	<u>10,287</u>	<u>46,151</u>
(b) RECONCILIATION OF EXPECTED TAX BASED ON ACCOUNTING (LOSS) /PROFIT TO TAX (CREDIT)/EXPENSE				
Accounting (loss)/profit before taxation	(143,984)	214,067	53,704	153,087
Tax at the applicable rate of 30%	(43,195)	64,220	16,111	45,926
Tax effect of expenses not deductible for tax purposes	15,696	27,406	5,931	22,002
Tax effect of income not taxable	(16,035)	(18,120)	(11,865)	(19,953)
Prior year (over)/under provision of current tax	(2,933)	(2,273)	110	(1,824)
	<u>(46,467)</u>	<u>71,233</u>	<u>10,287</u>	<u>46,151</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

7 TAXATION (Continued)

	GROUP		COMPANY	
	2008 Sh'000	2007 Sh'000	2008 Sh'000	2007 Sh'000
(c) TAX MOVEMENT				
At beginning of the year:				
Payable	23,120	8,691	16,634	8,691
Recoverable	(8,702)	(15,957)	-	(1,640)
	14,418	(7,266)	16,634	7,051
Taxation charge	6,192	35,658	6,793	20,492
Taxation paid	(39,784)	(13,974)	(31,211)	(10,909)
At end of the year				
Net tax(recoverable)/payable	(19,174)	14,418	(7,784)	16,634
Comprising:				
Payable	-	23,120	-	16,634
Recoverable	(19,174)	(8,702)	(7,784)	-
	(19,174)	14,418	(7,784)	16,634

8 PROFIT AFTER TAXATION - COMPANY

The company profit after taxation of Sh 43,417,000 (2007 – Sh 106,936,000) has been dealt with in the financial statements of Williamson Tea Kenya Limited.

9 EARNINGS PER SHARE

Earnings per share is calculated by dividing the profit attributable to shareholders by the number of ordinary shares in issue during the year.

	2008	2007
Earnings		
(Loss)/earnings for purposes of basic and diluted earnings per share (Sh'000)	(86,737)	139,671
Number of shares		
Number of ordinary shares (thousands)	8,756	8,756
Earnings/(loss) per share		
Basic (Sh) and diluted (Sh)	(9.91)	15.95

There were no potentially dilutive shares outstanding at 31 March 2008 or 31 March 2007.

10 PROPOSED DIVIDEND

In respect of the current year, the directors propose that a dividend of Sh 0.50 per share (2007 – Sh 5 per share) amounting to a total of Sh 4,378,200 (2007 – Sh 43,782,000) will be paid to shareholders. This dividend is subject to approval by shareholders at the Annual General Meeting to be held on 31 July 2008 and has not been included as a liability in these financial statements.



NOTES TO THE FINANCIAL STATEMENTS (Continued)

11 PROPERTY, PLANT AND EQUIPMENT

GROUP

	Freehold land & buildings Sh '000	Machinery & equipment Sh '000	Tractors & accessories Sh '000	Motor vehicles Sh '000	Office equipment furniture & fittings Sh '000	Computers Sh '000	Work in progress Sh '000	Total Sh '000
COST OR VALUATION								
At 1 April 2006	539,821	316,849	81,647	47,143	19,652	21,174	9,231	1,035,517
Additions	10,527	30,066	108	1,261	499	2,768	16,956	62,185
Additions on acquisition of farm	7,500	-	-	-	-	-	-	7,500
Disposals	(1,790)	(357)	(2,867)	(2,746)	-	-	-	(7,760)
Revaluation	32,259	(31,788)	-	-	-	-	-	471
Reclassification	17,982	638	-	-	-	50	(18,670)	-
At 31 March 2007	606,299	315,408	78,888	45,658	20,151	23,992	7,517	1,097,913
Comprising:								
At Valuation 2007	606,299	315,408	-	-	-	-	-	921,707
At Cost	-	-	78,888	45,658	20,151	23,992	7,517	176,206
	606,299	315,408	78,888	45,658	20,151	23,992	7,517	1,097,913
At 1 April 2007	606,299	315,408	78,888	45,658	20,151	23,992	7,517	1,097,913
Additions	3,166	85,863	22,078	15,588	4,049	2,180	22,298	155,222
Disposals	-	(5,750)	(12,419)	(4,323)	(3,175)	(3,693)	-	(29,360)
Reclassification	704	-	-	-	-	-	(2,516)	(1,812)
At 31 March 2008	610,169	395,521	88,547	56,923	21,025	22,479	27,299	1,221,963
Comprising:								
At Valuation 2007	606,299	309,658	-	-	-	-	-	915,917
At Cost	3,870	85,863	88,547	56,923	21,025	22,479	27,299	306,006
	610,169	395,521	88,547	56,923	21,025	22,479	27,299	1,221,963

NOTES TO THE FINANCIAL STATEMENTS (Continued)

11 PROPERTY, PLANT AND EQUIPMENT (Continued)

GROUP

	Freehold land & buildings Sh '000	Machinery & equipment Sh '000	Tractors & accessories Sh '000	Motor vehicles Sh '000	Office equipment furniture & fittings Sh '000	Computers Sh '000	Work in progress Sh '000	Total Sh '000
DEPRECIATION								
At 1 April 2006	120,956	92,719	61,629	36,331	13,784	16,229	-	341,648
Charge for the year	30,893	23,896	4,501	5,877	1,270	2,684	-	69,121
Eliminated on disposal	(703)	(366)	(2,867)	(1,975)	-	-	-	(5,911)
Write back on revaluation	(151,146)	(116,249)	-	-	-	-	-	(267,395)
At 31 March 2007	-	-	63,263	40,233	15,054	18,913	-	137,463
At 1 April 2007	-	-	63,263	40,233	15,054	18,913	-	137,463
Charge for the year	54,701	35,217	8,962	5,996	1,429	2,665	-	108,970
Eliminated on disposal	-	-	(12,419)	(4,170)	(3,170)	(3,689)	-	(23,448)
At 31 March 2008	54,701	35,217	59,806	42,059	13,313	17,889	-	222,985
NET BOOK VALUE								
At 31 March 2008	555,468	360,304	28,741	14,864	7,712	4,590	27,299	998,978
At 31 March 2007	606,299	315,408	15,625	5,425	5,097	5,079	7,517	960,450
NET BOOK VALUE (Cost basis)								
At 31 March 2008	215,143	215,995	28,741	14,864	7,712	4,590	27,299	514,344
At 31 March 2007	209,067	180,095	15,625	5,425	5,097	5,079	7,517	427,905

Land, building and machinery were last revalued as at 31 March 2007 by Lloyd Masika Limited, registered valuers and estate agents on the basis of open market value for the existing use.

Included in the property, plant and equipment are assets with an original cost of Sh. 91,688,076 (2007 - Sh. 75,702,000) which are fully depreciated and whose normal depreciation charge for the year would have been Sh. 16,991,334 (2007 - Sh. 16,548,000).

Land and buildings with net book value of Sh. 555,468,000 (2007 - Sh. 606,299,000) have been charged to secure banking facilities granted to the group as disclosed in note 29.

Motor vehicles and machinery with a net book value of Sh. 36,561,000 are subject of a finance lease as disclosed on note 30.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

11 PROPERTY, PLANT AND EQUIPMENT (Continued)

COMPANY

	Freehold land & buildings Sh '000	Machinery & equipment Sh '000	Tractors & accessories Sh '000	Motor vehicles Sh '000	Office equipment furniture & fittings Sh '000	Computers Sh '000	Work in progress Sh '000	Total Sh '000
COST OR VALUATION								
At 1 April 2006	295,249	132,394	35,186	13,669	9,045	11,109	1,179	497,831
Additions	3,384	7,265	99	-	442	1,531	6,322	19,043
Disposals	-	-	(1,447)	(1,540)	-	-	-	(2,987)
Revaluation	20,017	(21,915)	-	-	-	-	-	(1,898)
Reclassification	1,179	-	-	-	-	-	(1,179)	-
At 31 March 2007	319,829	117,744	33,838	12,129	9,487	12,640	6,322	511,989
Comprising:								
At Valuation 2007	319,829	117,744	-	-	-	-	-	437,573
At Cost	-	-	33,838	12,129	9,487	12,640	6,322	74,416
	319,829	117,744	33,838	12,129	9,487	12,640	6,322	511,989
At 1 April 2007	319,829	117,744	33,838	12,129	9,487	12,640	6,322	511,989
Additions	-	8,513	4,810	10,276	1,866	723	14,010	40,198
Disposal	-	-	(3,933)	(1,435)	(3,175)	(3,692)	-	(12,235)
Reclassification	-	-	-	-	-	-	(1,322)	(1,322)
At 31 March 2008	319,829	126,257	34,715	20,970	8,178	9,671	19,010	538,630
Comprising:								
At Valuation 2007	319,829	117,744	-	-	-	-	-	437,573
At Cost	--	8,513	34,715	20,970	8,178	9,671	19,010	101,057
	319,829	126,257	34,715	20,970	8,178	9,671	19,010	538,630

NOTES TO THE FINANCIAL STATEMENTS (Continued)

11 PROPERTY, PLANT AND EQUIPMENT (Continued)

COMPANY

	Freehold land & buildings Sh '000	Machinery & equipment Sh '000	Tractors & accessories Sh '000	Motor vehicles Sh '000	Office equipment furniture & fittings Sh '000	Computers Sh '000	Work in progress Sh '000	Total Sh '000
DEPRECIATION								
At 1 April 2006	60,225	35,361	25,934	10,322	6,550	9,431	-	147,823
Charge for the year	16,043	9,875	2,268	1,542	440	1,318	-	31,486
Eliminated on disposal	-	-	(1,447)	(770)	-	-	-	(2,217)
Write back revaluation	(76,268)	(45,236)	-	-	-	-	-	(121,504)
At 31 March 2007	-	-	26,755	11,094	6,990	10,749	-	55,588
At 1 April 2007	-	-	26,755	11,094	6,990	10,749	-	55,588
Charge for the year	27,195	13,991	2,805	1,538	499	868	-	46,896
Eliminated on disposal	-	-	(3,933)	(1,435)	(3,170)	(3,689)	-	(12,227)
At 31 March 2008	27,195	13,991	25,627	11,197	4,319	7,928	-	90,257
NET BOOK VALUE								
At 31 March 2008	292,634	112,266	9,088	9,773	3,859	1,743	19,010	448,373
At 31 March 2007	319,829	117,744	7,083	1,035	2,497	1,891	6,322	456,401
NET BOOK VALUE (Cost basis)								
At 31 March 2008	108,433	76,753	9,088	9,773	3,859	1,743	19,010	228,659
At 31 March 2007	118,254	74,550	7,083	1,035	2,497	1,891	6,322	211,632

Land, buildings and machinery were valued at 31 March 2007 by Lloyds Masika Limited, registered valuers and estate agencies.

Included in the property, plants and equipment are assets with an original cost of Sh. 41,143,440 (2007 - Sh. 42,640,000) which are fully depreciated and those normal depreciation charges for the year which have been Sh. 7,355,643 (2007 - Sh. 9,051,000).

Land, buildings and development with net book value of Sh. 292,634,000 (2007 - Sh. 319,829,000) have been charged to secure baking facilities granted to the company as disclosed in note 29.

Motor vehicles with a net book value of Sh. 14,789,000 are subject of a financial lease as disclosed in note 30.



NOTES TO THE FINANCIAL STATEMENTS (Continued)

12 PREPAID OPERATING LEASES

	GROUP		COMPANY	
	2008	2007	2008	2007
	Sh'000	Sh'000	Sh'000	Sh'000
COST				
At 1 April and 31 March	81,581	81,581	12,613	12,613
AMORTISATION				
At 1 April	4,283	4,200	775	762
Amortisation for the year	84	83	13	13
At 31 March	4,367	4,283	788	775
NET BOOK VALUE				
At 31 March	77,214	77,298	11,825	11,838

Leasehold land has been charged to secure banking facilities granted to the group as disclosed in note 29.

Leasehold land was last revalued as at 31 March 2007 by Lloyd Masika Ltd, registered valuers and estate agents, at Sh 169.75 million at that time, based on open market value.

	GROUP & COMPANY	
	2008	2007
	Sh'000	Sh'000
13 INVESTMENT PROPERTIES		
At fair value:		
At 1 April	394,500	355,000
Gain in market value	-	39,500
At 31 March	394,500	394,500
COST		
	182,233	182,233

The investment properties were revalued as at 31 March 2007 by Lloyd Masika Limited, Registered Valuers and Estate Agents on an open market value basis. The directors are of the opinion that the fair value of the property has not materially changed from the previous year.



NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2008 Sh'000	2007 Sh'000
14 INVESTMENT IN ASSOCIATE COMPANIES		
Available for sale		
GROUP		
Kapchorua Tea Company Limited (Quoted) - 39.56% owned:		
At share of net assets (market value - Sh 116,083,500		
2007 - Sh 173,351,000)	245,789	281,132
Williamson Developments Limited (Unquoted) - 50%		
Share of net assets	19,488	19,498
	<u>265,277</u>	<u>300,630</u>
COMPANY		
Available for sale		
Kapchorua Tea Company Limited (Quoted);		
39.56% owned:		
At cost - (market value - Sh 116,083,500		
2007 - Sh 173,351,000)	49,479	49,479
Williamson Developments Limited (Unquoted)		
- 50% owned at cost	30,358	30,358
	<u>79,837</u>	<u>79,837</u>
The movement in group investment in associated companies		
is as follows:		
At 1 April	300,630	278,502
Share of (loss)/profit before taxation	(40,779)	813
Share of tax	13,153	(1,180)
Share of revaluation surplus	-	23,269
Dividend received	(7,727)	(774)
	<u>265,277</u>	<u>300,630</u>

The details of the above associated companies are as follows:

Company	Share Capital Sh.	% Owned	Country of Incorporation	Principal activity
Kapchorua Tea Company Ltd.	19,560,000	39.56%	Kenya	Cultivation, manufacturer and sale of tea.
Williamson Developments Ltd.	3,600	50%	Kenya	Property management.



NOTES TO THE FINANCIAL STATEMENTS (Continued)

		2008 Sh'000	2007 Sh'000
15	INVESTMENT IN SUBSIDIARY COMPANIES		
(a)	Unquoted investments at cost in wholly owned subsidiaries:		
	Kaimosi Tea Estates Limited	2,863	2,863
	Williamson Power Limited	3,689	3,689
	Tea Manufacturing and Supplies Limited	-	-
	Tea Properties Limited	2	2
	Lelsa Tea Estates Limited	-	-
		6,554	6,554
(b)	Unquoted investment at cost in Partly owned subsidiaries		
	Tinderet Tea Estates (1989) Limited (82% owned)	103,323	103,323
		109,877	109,877

The details of the above subsidiary companies are as follows:

<i>Company</i>	<i>Share capital Sh</i>	<i>Country of Incorporation</i>	<i>Principal activity</i>
Kaimosi Tea Estates Limited	2,540,000	Kenya	Cultivation, manufacture and sale of tea.
Williamson Power Limited	2,880,000	Kenya	Sale, installation and servicing of generators.
Tea Manufacturing and Supplies Limited	2,000,000	Kenya	Dormant company.
Tea Properties Limited	2,000	Kenya	Property Investment
Lelsa Tea Estates Limited	4,000,000	Kenya	Dormant company.
Tinderet Tea Estates (1989) Limited	100,000	Kenya	Cultivation, manufacture and sale of tea.

		2008 Sh'000	2007 Sh'000
16	OTHER INVESTMENTS		
	Available for sale		
	Unquoted investments at cost		
	Group		
	999,326 Shares (2007 – 999,326) shares of Sh 10 each in Kenya Tea Packers Limited	1,349	1,349
	Company		
	403,545 Shares (2007 – 403,545) shares of Sh 10 each in Kenya Tea Packers Limited	546	546

NOTES TO THE FINANCIAL STATEMENTS (Continued)

17 BIOLOGICAL ASSETS

GROUP

	Tea bushes Sh'000	Timber trees Sh'000	Fuel trees Sh'000	Total 2008 Sh'000	Total 2007 Sh'000
Carrying amount at 1 April 2007	953,428	169,810	123,250	1,246,488	1,256,146
Expenditure on biological assets	10,576	1,224	1,119	12,919	29,963
Transfer from property, plant and equipment	1,812	-	-	1,812	-
Decrease due to harvest	-	(64)	(1,152)	(1,216)	(2,770)
	965,816	170,970	123,217	1,260,003	1,283,339
(Losses)/gains arising from changes in fair value attributable to physical changes	(17,039)	10,238	(836)	(7,637)	(6,614)
Loss arising from changes in fair value attributable to price changes	(12,060)	-	-	(12,060)	(30,237)
Net fair value (loss)/gain	(29,099)	10,238	(836)	(19,697)	(36,851)
Carrying amount at 31 March 2008	936,717	181,208	122,381	1,240,306	1,246,488
COMPANY					
Carrying amounts at 1 April 2007	440,710	55,268	60,696	556,674	555,236
Expenditure on biological assets	164	811	29	1,004	1,814
Transfer from property, plant and equipment	1,322	-	-	1,322	-
Decrease due to harvest	-	(16)	(413)	(429)	(1,071)
	442,196	56,063	60,312	558,571	555,979
(Loss)/gain arising from changes in fair value attributable to physical changes	(17,590)	3,297	(5,239)	(19,532)	(5,978)
Gain arising from changes in fair value attributable to price changes	88,688	-	-	88,688	6,673
Net fair value gain/(loss)	71,098	3,297	(5,239)	69,156	695
Carrying amount at 31 March 2008	513,294	59,360	55,073	627,727	556,674

Significant assumptions made in determining the fair values of biological assets are:

- Tea bushes are considered to be productive for an estimated period of 30 years.
- The expected market price of tea will remain constant, based on the dollar average price for the last five years and the ruling rate of exchange at year end. Firewood and timber prices are also expected to remain constant.
- A discount rate of 14.8% per annum is applied to discount the expected net cash flows arising from the asset.
- Based on the biological transformation which the tea bushes and tea leaf undergo, 60% of future cash flows less point of sale costs and tea processing income are discounted to determine the fair value of tea bushes. The remaining 40% of net market value is assigned to regeneration of tea leaf.
- The maturity period of firewood and timber trees is between 5 and 25 years depending on the species of the tree.



NOTES TO THE FINANCIAL STATEMENTS (Continued)

	GROUP		COMPANY	
	2008 Sh'000	2007 Sh'000	2008 Sh'000	2007 Sh'000
18 INVENTORIES				
Tea stocks	66,041	156,488	26,000	52,660
Firewood	4,899	3,237	844	752
Stores	45,235	53,793	18,387	16,035
Generators	802	1,642	-	-
Work in progress	1,030	164	-	-
Goods in transit	3,244	155	-	-
	<u>121,251</u>	<u>215,479</u>	<u>45,231</u>	<u>69,447</u>
19 TRADE AND OTHER RECEIVABLES				
Trade	229,591	219,974	71,813	77,406
Staff	18,364	19,103	6,664	10,236
VAT receivable	51,110	31,265	-	18,154
Loans to directors	1,343	970	1,343	970
Other	43,832	30,509	41,189	7,868
	<u>344,240</u>	<u>301,821</u>	<u>121,009</u>	<u>114,634</u>
The loans to directors are interest free and repayable within a year.				
20 DUE FROM ASSOCIATE COMPANIES				
Kapchorua Tea Company Limited	47,534	20,246	42,853	16,287
Williamson Development Limited	2,757	4,301	2,702	4,301
	<u>50,291</u>	<u>24,547</u>	<u>45,555</u>	<u>20,588</u>
DUE TO ASSOCIATE COMPANIES				
Kapchorua Tea Company Limited	<u>1,001</u>	<u>-</u>	<u>-</u>	<u>-</u>



NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2008 Sh'000	2007 Sh'000
21 DUE FROM SUBSIDIARY COMPANIES		
COMPANY		
Kaimosi Tea Estates Limited	55,624	38,606
Williamson Power Limited	3,234	2,271
Tinderet Tea Estates (1989) Limited	34,054	19,103
	<u>92,912</u>	<u>59,980</u>
DUE TO SUBSIDIARY COMPANIES		
COMPANY		
Tea Properties Limited	25,841	26,647
Tinderet Tea Estates (1989) Limited	57	-
Williamson Power Limited	464	-
	<u>26,362</u>	<u>26,647</u>
22 LOAN TO SUBSIDIARY COMPANIES		
Kaimosi Tea Estate Limited	<u>7,500</u>	<u>7,500</u>

The loan to the subsidiary company is unsecured and matures within one year. The effective interest rate on the loan as at 31 March 2008 was 6.92 % (2007 – 6.92%).

	GROUP		COMPANY	
	2008 Sh'000	2007 Sh'000	2008 Sh'000	2007 Sh'000
23 SHORT TERM DEPOSITS				
NIC Bank Limited	-	41,935	-	41,935
Bank of Africa Limited	-	5,000	-	5,000
Commercial Bank of Africa	-	13,000	-	13,000
	<u>-</u>	<u>59,935</u>	<u>-</u>	<u>59,935</u>

The effective interest rate on short term deposits as at 31 March 2007 was 6.5% and they matured within 90 days of the balance sheet date.



NOTES TO THE FINANCIAL STATEMENTS (Continued)

24 RELATED PARTIES

The group transacts with the ultimate holding company and other companies related to it by virtue of common shareholding.

During the year, the following transactions were entered into with related parties:

	2008 Sh'000	2007 Sh'000
Sales through a related party (Williamson Tea Holdings Limited – parent)	579,717	1,060,539
Technical support (Williamson Tea Holdings Limited – parent)	-	13,559
Agency commission and charges received (Kapchorua Tea Company Limited – associate)	22,103	23,728
Licence fees (George Williamson & Co Limited)	-	13,559
Agency fees-Cohen & Griffiths Ltd	23,234	-
Green leaf sales to Kapchorua Tea Company Limited	5,181	6,101

Loan from parent company

The group received a loan of GBP 200,000 during the financial year ended 31 March 2007 for purchase of factory machinery from Williamson Tea Holdings Limited, the ultimate holding company. The loan is repayable in eight quarterly instalments with a one year moratorium granted on both principal and interest. The group received a further loan of GBP 51,750 during the financial year ended 31 March 2008 for purchase of farm machinery from George Williamson & Co Limited, a related company. The interest rate on the loans is BOE plus 1.5 %. The balance outstanding on the shareholder loan at 31 March 2008 is disclosed in note 29.

	2008 Sh'000	2007 Sh'000
Compensation of key management personnel		
The remuneration of directors and other members of key management during the period was as follows:		
Salaries and other benefits	67,511	56,079
Fees and allowances for services as directors	1,000	1,053
	<u>68,511</u>	<u>57,132</u>

25 SHARE CAPITAL

Authorised:

17,512,640 shares of Sh 5 each

87,563 87,563

Issued and fully paid:

8,756,320 shares of Sh 5 each

43,782 43,782

26 MINORITY INTEREST

At 1 April

91,979 82,043

Share of (loss)/profit

(10,780) 3,163

Dividend paid

(1,962) (135)

Share of revaluation surplus net of deferred tax

- 6,908

At 31 March

79,237 91,979

Represented by:

Holding in Tinderet Tea Estates (1989) Limited

18% 18%

NOTES TO THE FINANCIAL STATEMENTS (Continued)

27 DEFERRED INCOME TAXES

Deferred income taxes are calculated on all temporary differences under the liability method using the enacted tax rate of 30%.

	GROUP		COMPANY	
	2008	2007	2008	2007
	Sh'000	Sh'000	Sh'000	Sh'000
The net deferred taxation liability is attributable to the following items:				
Deferred tax liabilities:				
Accelerated capital allowances	229,306	223,257	98,085	98,048
Revaluation of investment property	66,521	66,521	66,521	66,521
Revaluation surplus	145,128	159,609	62,004	68,993
Fair value adjustments - biological assets	221,411	227,320	120,882	100,135
Fair value adjustments – inventories	-	1,827	-	1,681
	<u>662,366</u>	<u>678,534</u>	<u>347,492</u>	<u>335,378</u>
Deferred tax assets:				
Unrealised exchange gains	(3,543)	(38)	(1,476)	(159)
Service gratuity provision	(36,749)	(36,735)	(19,794)	(20,284)
Leave pay provision	(4,245)	(4,223)	(1,843)	(1,794)
Inventories general provision	(583)	(580)	(253)	(259)
Tax losses	(29,131)	(9,337)	(7,750)	-
	<u>(74,251)</u>	<u>(50,913)</u>	<u>(31,116)</u>	<u>(22,496)</u>
Net deferred tax liability	<u>588,115</u>	<u>627,621</u>	<u>316,376</u>	<u>312,882</u>

The movement on the deferred tax account is as follows:

	GROUP		COMPANY	
	2008	2007	2008	2007
	Sh'000	Sh'000	Sh'000	Sh'000
At 1 April	627,621	512,865	312,882	251,341
Income statement tax (credit)/charge (note 7a)	(39,506)	34,395	-	25,659
Deferred tax on revaluation surplus charged directly to equity	-	80,361	(20,112)	35,882
At 31 March	<u>588,115</u>	<u>627,621</u>	<u>292,770</u>	<u>312,882</u>



NOTES TO THE FINANCIAL STATEMENTS (Continued)

	GROUP		COMPANY	
	2008 Sh'000	2007 Sh'000	2008 Sh'000	2007 Sh'000
28 SERVICE GRATUITY				
At 1 April	122,274	113,949	67,616	67,077
Provision during the year	12,593	21,592	7,557	8,766
Payments in the year	(12,370)	(13,087)	(9,193)	(8,227)
At 31 March	<u>122,497</u>	<u>122,454</u>	<u>65,980</u>	<u>67,616</u>
29 BORROWINGS				
a) Loans				
Bank overdraft	37,981	20,914	-	-
Shareholder loan	20,367	20,249	8,628	3,375
	<u>58,348</u>	<u>41,163</u>	<u>8,628</u>	<u>3,375</u>
The borrowings are repayable as follows:				
On demand and within one year	47,372	28,508	1,565	1,266
In the second to fifth year	10,976	12,655	7,063	2,109
	<u>58,348</u>	<u>41,163</u>	<u>8,628</u>	<u>3,375</u>
Analysis of borrowings by currency				
Group				
	Borrowings in USD Sh'000	Borrowings in GBP Sh'000	Total Sh'000	
2008				
Bank overdrafts	37,981	-	37,981	
Shareholder loan	-	20,367	20,367	
	<u>37,981</u>	<u>20,367</u>	<u>58,348</u>	
2007				
Bank overdrafts	20,914	-	20,914	
Shareholder loan	-	20,249	20,249	
	<u>20,914</u>	<u>20,249</u>	<u>41,163</u>	

NOTES TO THE FINANCIAL STATEMENTS (Continued)

29 BORROWINGS (Continued)

Analysis of borrowings by currency

Company

	Borrowings in USD Sh'000	Borrowings in GBP Sh'000	Total Sh'000
2008			
Shareholder loan	-	8,628	8,628
2007			
Shareholder loan	-	3,375	3,375

b) Interest rates

	2008	2007
The average interest rates paid by the group were as follows:		
Share holder loan - GBP	BOE & LIBOR +1.5%	LIBOR+1.5%
Bank overdraft - KSh	13.75%	13.75%
Bank overdraft - US\$	6.82%	6.82%

c) Details of securities for loans and bank overdrafts

The loan facilities with Barclays Bank of Kenya Limited are secured by:

GROUP

1. Joint and several debenture between Kaimosi Tea Estates Limited, Williamson Tea Kenya Limited, Tea Properties Limited, Changoi and Lelsa to Barclays Bank of Kenya Limited stamped and registered to cover Sh 104 million.
2. Legal mortgage over LR Nos. 1892, 1893, 1894, 1895, 1896 and 1899 (Kaimosi Tea Estates) registered and stamped to cover Sh 104 million supplemental to the debenture.
3. A fixed and floating debenture over all the assets of Tinderet Tea Estates (1989) Limited for Sh 94 million and a legal charge over the company's property in Tinderet (LR 11490) for Sh 94 million.

The bank overdraft facility with Standard Chartered Bank Kenya Limited is secured by an all assets debenture supported by a collateral legal charge over LR 11297 (Changoi Estate) Kericho of Sh 84 million.

The share holder's loan is unsecured and repayable in two years.

COMPANY

1. Joint and several debenture between Kaimosi Tea Estates Limited, Williamson Tea Kenya Limited, Tea Properties Limited and Lelsa to Barclays Bank of Kenya Limited stamped and registered to cover Sh 104 million.
2. All assets debenture supported by a collateral charge over LR 11297 (Changoi Estate) Kericho to Standard Chartered Bank of Kenya Limited registered to cover Sh 84 million.

d) Undrawn facilities

The group had undrawn committed borrowing facilities amounting to Sh 164,359,000 (2007 - Sh 119,250,000).

The borrowing facilities consist of loans, bank overdrafts, letters of credit and guarantees.



NOTES TO THE FINANCIAL STATEMENTS (Continued)

30 FINANCE LEASE OBLIGATIONS

GROUP

	Minimum lease payments (including finance charges)		Present value of minimum lease payments (excluding finance charges)	
	2008	2007	2008	2007
	Sh'000	Sh'000	Sh'000	Sh'000
Within one year	10,258	-	6,661	-
In second year	73,002	-	58,613	-
	<u>83,260</u>	<u>-</u>	<u>65,274</u>	<u>-</u>
Less: Future finance charges	(17,986)	-	-	-
	<u>65,274</u>	<u>-</u>	<u>65,274</u>	<u>-</u>
Present value of lease obligations	<u>65,274</u>	<u>-</u>	<u>65,274</u>	<u>-</u>
Amounts due for settlement within one year			(6,661)	-
Amounts due for settlement after one year			<u>58,613</u>	<u>-</u>

COMPANY

	Minimum lease payments (including finance charges)		Present value of minimum lease payments (excluding finance charges)	
	2008	2007	2008	2007
	Sh'000	Sh'000	Sh'000	Sh'000
Within one year	1,915	-	1,502	-
In second year	7,674	-	6,018	-
	<u>9,589</u>	<u>-</u>	<u>7,520</u>	<u>-</u>
Less: Future finance charges	(2,069)	-	-	-
	<u>7,520</u>	<u>-</u>	<u>7,520</u>	<u>-</u>
Present value of lease obligations	<u>7,520</u>	<u>-</u>	<u>7,520</u>	<u>-</u>
Amounts due for settlement within one year			(1,502)	-
Amounts due for settlement after one year			<u>6,018</u>	<u>-</u>

The average lease period is 3 years. The average interest rate was 14%.

The finance lease is secured by motor vehicles and machinery which are the subject of the finance lease.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

		GROUP		COMPANY	
		2008	2007	2008	2007
		Sh'000	Sh'000	Sh'000	Sh'000
31	TRADE AND OTHER PAYABLES				
	Trade payables	21,613	33,143	8,241	10,445
	Green leaf provision	50,388	104,554	10,928	19,150
	Leave provision	14,154	14,076	6,145	5,979
	Accruals and other payables	129,927	117,810	79,564	51,891
		<u>216,082</u>	<u>269,583</u>	<u>104,878</u>	<u>87,465</u>
32	UNCLAIMED DIVIDENDS				
	GROUP & COMPANY				
				2008	2007
				Sh'000	Sh'000
	At beginning of the year			3,553	2,193
	Declared in the year			43,782	4,378
	Dividends claimed			(42,421)	(3,018)
				<u>4,914</u>	<u>3,553</u>
	At end of year				
33	NOTES TO THE CASH FLOW STATEMENT				
				2008	2007
				Sh'000	Sh'000
	GROUP				
	(a) Reconciliation of (loss)/profit before tax to cash generated from operations				
	(Loss)/profit before tax			(143,984)	214,067
	Adjustments for:				
	Depreciation			108,970	69,121
	Amortisation			84	83
	Profit on disposal of plant and equipment			(2,562)	(372)
	Share of results of associates			40,779	(813)
	Exchange differences			(1,049)	1,664
	Fair value adjustment on biological assets			19,697	36,851
	Fair value gain on investment property			-	(39,500)
	Interest paid			8,047	4,468
	Dividend received			(1,480)	(1,446)
				<u>28,502</u>	<u>284,123</u>
	Profit before working capital changes				
	Decrease/(increase) in inventories			94,228	(115,163)
	Increase in trade and other receivables			(42,419)	(67,711)
	(Decrease)/increase in trade and other payables			(53,501)	115,194
	Movement in associate companies balances			(24,743)	(36)
	Increase in service gratuity			43	8,505
				<u>2,110</u>	<u>224,912</u>
	Cash generated from operations				



NOTES TO THE FINANCIAL STATEMENTS (Continued)

33 NOTES TO THE CASH FLOW STATEMENT (Continued)

	2008 Sh'000	2007 Sh'000
(b) Analysis of changes in loans		
At 1 April	20,249	17,768
Loans received	3,011	18,585
Loans repaid	(1,844)	(17,768)
Exchange (gain)/loss	(1,049)	1,664
	<u>20,367</u>	<u>20,249</u>
At 31 March	<u>20,367</u>	<u>20,249</u>
(c) Analysis of purchase of plant and equipment		
Additions in the year	155,222	62,185
Amounts subject of a finance lease	(65,274)	-
	<u>89,948</u>	<u>62,185</u>
(d) Analysis of cash and cash equivalents		
Short term deposits	-	59,935
Cash and bank balances	67,745	163,650
Bank overdrafts	(37,981)	(20,914)
	<u>29,764</u>	<u>202,671</u>
At 31 March	<u>29,764</u>	<u>202,671</u>

For the purpose of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired, less advances from banks repayable within three months from the date of the advance.

	GROUP		COMPANY	
	2008 Sh'000	2007 Sh'000	2008 Sh'000	2007 Sh'000
34 CAPITAL COMMITMENTS				
Authorised but not contracted for	126,661	185,866	28,338	29,656
Authorised and contracted for	23,303	-	4,210	-
	<u>149,964</u>	<u>185,866</u>	<u>32,548</u>	<u>29,656</u>

The Group intends to finance these commitments from internally generated funds, asset financing from the banks and loans from overseas Shareholders.



NOTES TO THE FINANCIAL STATEMENTS (Continued)

35 OPERATING LEASE COMMITMENTS

The group as a lessor

Property rental income earned during the year amounted to Sh 31,193,307 (2007 – Sh 30,380,479). At the balance sheet date, the group had contracted with tenants for the following future lease receivables.

	2008 Sh'000	2007 Sh'000
Within one year	21,690	29,590
In the second to fifth years inclusive	18,466	75,329
	<u>40,156</u>	<u>104,919</u>

Leases are negotiated for an average term of two years for residential properties and six years for non-residential properties, and rentals are reviewed annually. The leases are cancellable with no penalty when the tenants give three months notice to vacate the premises.

	GROUP		COMPANY	
	2008 Sh'000	2007 Sh'000	2008 Sh'000	2007 Sh'000
36 CONTINGENT LIABILITIES				
Guarantees in respect of banking facilities granted to related company, Subati Limited	-	73,413	-	73,413
	<u>-</u>	<u>73,413</u>	<u>-</u>	<u>73,413</u>

A suit has been filed against the company by a former employee for wrongful dismissal. No liability has been recognised in these financial statements, as in the opinion of the directors, the company has no liability.



NOTES TO THE FINANCIAL STATEMENTS (Continued)

37 CAPITAL MANAGEMENT

The group manages its capital to ensure that it will be able to continue as a going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance.

The capital structure of the group consists of debt, which includes the borrowings disclosed in notes 29 and 30, cash and cash equivalents and equity attributable to equity holders, comprising issued capital and retained earnings.

Consistent with others in the industry, the group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents. Total capital is calculated as equity plus net debt.

	2008 Sh'000	2007 Sh'000
Share capital	43,782	43,782
Retained earnings	2,074,174	2,193,271
Equity	2,117,956	2,237,053
Total borrowings	123,622	41,163
Less: cash and cash equivalents	(67,745)	(163,650)
Net debt	55,877	(122,487)
Total Capital	2,173,833	2,114,566
Gearing	2.63%	-

38 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The group's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by the finance department under policies approved by the Board of Directors. Finance identifies, evaluates and hedges financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of non-derivative financial instruments and investing excess liquidity.

The group has policies in place to ensure that sales are made to customers with an appropriate credit history.



NOTES TO THE FINANCIAL STATEMENTS (Continued)

38 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

Credit risk

Credit risk is managed on a group-wide basis. Credit risk arises from cash and cash equivalents, deposits with banks, as well as trade and other receivables. The group management assesses the credit quality of each customer, taking into account its financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the Board. The utilisation of credit limits is regularly monitored.

The amount that best represents the group's maximum exposure to credit risk as at 31 March 2008 is made up as follows:

	Fully performing Sh'000	Past due Sh'000	Total Sh'000
Trade and other receivables	326,600	17,640	344,240
Due from related parties	50,291	-	50,291
Cash and bank balances	67,745	-	67,745

The amount that best represents the group's maximum exposure to credit risk as at 31 March 2007 is made up as follows:

	Fully performing Sh'000	Past due Sh'000	Total Sh'000
Trade and other receivables	301,821	-	301,821
Due from related parties	24,547	-	24,547
Cash and bank balances	163,650	-	163,650

The customers under the fully performing category are paying their debts as they continue trading.

The receivables that are past due related to trade receivables overdue by over 60 days. The receivables are not impaired and continue to be paid. The finance department is actively following these receivables. No collateral is held with respect to the debt.

The group has no debt that is considered to be impaired.

Liquidity risk

Ultimate responsibility for liquidity risk management rests with the board of directors, which has built an appropriate liquidity risk management framework for the management of the group's short, medium and long term funding and liquidity management requirements. The group manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

38 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

Liquidity risk (Continued)

The following table analyses the group's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

	Up to 1 month Sh'000	1-3 months Sh'000	3-12 months Sh'000	1-5 years Sh'000	Over 5 years Sh'000	Total Sh'000
At 31 March 2008						
Financial assets						
Trade and other receivables	175,912	76,692	91,636	-	-	344,240
Due from related parties	-	50,291	-	-	-	50,291
Cash and bank balances	67,745	-	-	-	-	67,745
Total financial assets	243,657	126,983	91,636	-	-	462,276
Liabilities						
Trade and other payables	107,326	108,756	-	-	-	216,082
Due to related parties	-	1,001	-	-	-	1,001
Finance lease obligations	1,109	1,353	9,977	52,835	-	65,274
Borrowings	37,981	9,391	3,055	10,976	-	61,403
Total financial liabilities	146,416	120,501	13,032	63,811	-	343,760
Net liquidity gap	97,241	6,482	78,604	(63,811)	-	118,516
At 31 March 2007						
Total financial assets	293,293	72,882	42,552	-	-	408,727
Total financial liabilities	(104,672)	(194,314)	(16,166)	(12,655)	-	(327,807)
Net liquidity gap	188,621	(121,432)	26,386	(12,655)	-	80,920

NOTES TO THE FINANCIAL STATEMENTS (Continued)

38 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

Market risk

(i) Foreign exchange risk

The group undertakes certain transactions denominated in foreign currencies. Exchange rate exposures are managed within approved policy parameters.

The carrying amounts of the group's foreign currency denominated monetary assets and liabilities at the balance sheet date are as follows:

	USD Sh'000	GBP Sh'000	EURO Sh'000
2008			
Assets			
Bank and cash balances	18,849	24,353	1,579
Trade receivables	65,593	117,765	2,086
	<u> </u>	<u> </u>	<u> </u>
Liabilities			
Borrowings	-	8,628	-
Finance lease obligations	65,274	-	-
	<u> </u>	<u> </u>	<u> </u>
2007			
Assets			
Bank and cash balances	58,785	101,828	3,524
Trade receivables	58,038	112,045	7,908
	<u> </u>	<u> </u>	<u> </u>
Liabilities			
Borrowings	-	3,375	-
	<u> </u>	<u> </u>	<u> </u>

Foreign exchange risk – Appreciation/Depreciation of Ksh against other currencies by 1%

The following sensitivity analysis shows how profit and equity would change if the market risk variables had been different on the balance sheet date with all other variables held constant.

	2008 Sh'000		2007 Sh'000	
	Effect on Profit	Effect on Equity	Effect on Profit	Effect on Equity
Currency - GB pounds				
+ 1% KSh Movement	1,265	884	1,935	1,354
-1 %KSh Movement	(1,265)	(884)	(1,935)	(1,354)
Currency - US dollars				
+ 1% KSh Movement	525	367	963	673
- 1% KSh Movement	(525)	(367)	(963)	(673)
Currency - Euro				
+ 1 % Movement	29	20	101	71
-1 % Movement	(29)	(20)	(101)	(71)
	<u> </u>	<u> </u>	<u> </u>	<u> </u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

38 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(ii) Tea price risk

The group derives its income mainly from the sale of its black tea and prices are dependant on the international market.

The following sensitivity analysis shows how profit and equity would change if the tea price had been different with all other variables held constant:

	2008 Sh'000		2007 Sh'000	
	Effect on Profit	Effect on Equity	Effect on Profit	Effect on Equity
Tea price				
+ 1% Movement	10,954	7,667	12,065	8,445
-1% Movement	(10,954)	(7,667)	(12,065)	(8,445)

(iii) Interest rate risk

Interest rate risks arise from fluctuations in the bank borrowing rates. The interest rates vary from time to time depending on the prevailing economic circumstances. The group closely monitors the interest rate trends to minimize the potential adverse impact of interest rate changes. The table below summarises the exposure to interest rate risk at the balance sheet date. Included in the table are the group's financial instruments at carrying amounts, categorized by the earlier of contractual repricing or maturity dates.

	Up to 1 month Sh'000	1-3 months Sh'000	3-12 months Sh'000	1-5 years Sh'000	Over 5 years Sh'000	Non interest bearing Sh'000	Total Sh'000
At 31 March 2008							
Assets							
Cash and bank balances	67,745	-	-	-	-	-	67,745
Total financial assets	67,745	-	-	-	-	-	67,745
Liabilities							
Finance lease obligations	555	1,666	4,443	58,610	-	-	65,274
Borrowings	37,981	2,347	7,044	10,976	-	-	58,348
Total financial liabilities	38,536	4,013	11,487	69,586	-	-	123,622
Interest sensitivity gap	29,209	(4,013)	(11,487)	(69,586)	-	-	(55,877)
At 31 March 2007							
Total assets	163,650	-	-	-	-	-	163,650
Total financial liabilities	(20,914)	(1,899)	(5,695)	(12,655)	-	-	(41,163)
Interest sensitivity gap	142,736	(1,899)	(5,695)	(12,655)	-	-	122,487



NOTES TO THE FINANCIAL STATEMENTS (Continued)

38 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

Market risk (Continued)

Interest rate risks – Increase / Decrease of 1% in Net Interest Margin

The following sensitivity analysis shows how profit and equity would change if the market risk variables had been different on the balance sheet date with all other variables held constant.

	2008 Sh'000		2007 Sh'000	
	Effect on Profit	Effect on Equity	Effect on Profit	Effect on Equity
+ 1% Movement	289	201	203	133
-1 % Movement	(289)	(201)	(203)	(133)

39 COUNTRY OF INCORPORATION

All the companies in the group are incorporated and domiciled in Kenya under the Companies Act.

40 ULTIMATE HOLDING COMPANY

The immediate holding company is Ngong Holdings Limited, incorporated in the United Kingdom. The ultimate holding company is Williamson Tea Holdings Limited, a company incorporated in the United Kingdom.

41 CURRENCY

These financial statements are presented in Kenya Shillings thousands (Sh'000).



